N2N CONNECT 2014 ANNUAL REPORT

GOING GLOBAL

N2N CONNECT BERHAD 523137-K

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MSC MALAYSIA Status Company

N2N CONNECT BERHAD | Annual Report 2014

MISSION STATEMENT

To be

THE ONE STOP INNOVATIVE APPLICATION PROVIDER

for e-Commerce and m-Commerce
in the Global Financial Industry.

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CORPORATE INFORMATION

Directors

Tiang Boon Hwa
Managing Director

Lai Su Ping
Non-Independent Executive Director

Chua Tiong Hoong
Non-Independent Executive Director

Ybhg Dato' Chew Kong Seng @ Chew Kong Huat
Independent Non-Executive Director

Ybhg Datuk Tan Boon Leng
Independent Non-Executive Director

Goh Fuqiang, Kenneth
Independent Non-Executive Director

Akio Furuse
Non-Independent Non-Executive Director

Tetsuya Iguchi
Non-Independent Non-Executive Director

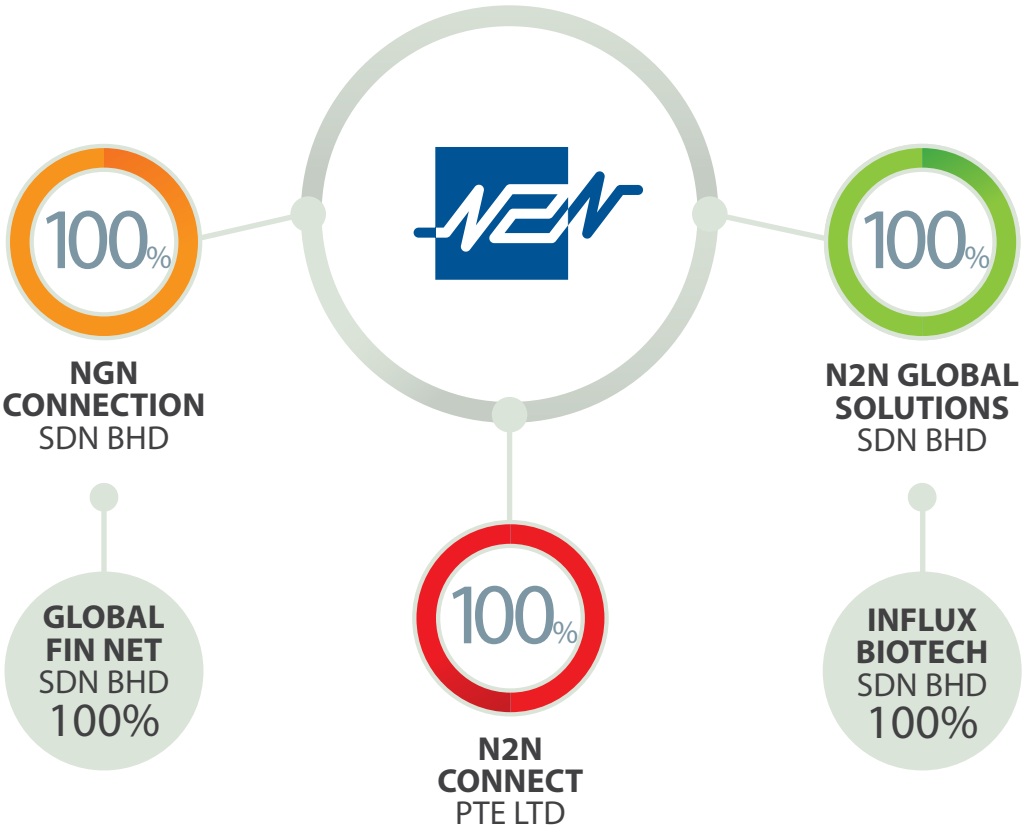
Izlan bin Izhab (retired on 23.06.2014)
Independent Non-Executive Director

Cho Wai Loon (retired on 23.06.2014)
Independent Non-Executive Director

Company Secretaries	Ho Mun Yee (MAICSA 0877877) Tam Fong Ying (MAICSA 7007857)
Registered Office	3rd Floor, 17, Jalan Ipoh Kecil, 50350 Kuala Lumpur. T: 603. 4044 3235 F: 603. 4041 3959 e: esprit@espritms.com.my
Head Office	Wisma N2N, Level 9, Tower 2, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur. T: 603. 2241 1818 F: 603. 2241 1616 Website: www.n2nconnect.com
Auditors	Morison Anuarul Azizan Chew (AF 001977) Chartered Accountants, 18, Jalan 1/64, Off Jalan Kolam Air/Jalan Ipoh, 51200 Kuala Lumpur. T: 603. 4048 2888 F: 603. 4048 2999
Registrar	Symphony Share Registrars Sdn Bhd (378993-D) Level 6, Symphony House, Pusat Dagangan Dana 1, Jalan PJU 1A/46, 47301 Petaling Jaya, Selangor. T: 603. 7841 8000 F: 603. 7841 8151/8152
Principal Bankers	AmBank (M) Berhad Malayan Banking Berhad OCBC Bank (Malaysia) Berhad
Stock Exchange Listing	ACE Market of Bursa Malaysia Securities Berhad Stock Name: N2N Stock Code: 0108

N2N CONNECT BERHAD

CORPORATE STRUCTURE



CHAIRMAN'S STATEMENT

Dear Shareholders,

On behalf of the Board of Directors of N2N Connect Berhad ("N2N" or "Company"), I am pleased to present the Annual Report and Audited Financial Statements of N2N and its subsidiaries ("Group") for the financial year ended 31 December 2014 ("Year 2014").

N2N entered into a new era in 2014 when it formed a strategic partnership with Nikkei Group of Japan. Nikkei Inc, and its subsidiary, QUICK Corp. ("QUICK"), took a 28% investment stake in N2N and will collaborate with N2N to introduce new services in Japan and across Asia. The new services include:

(i) the introduction of the new Nikkei Asian Review real time news services;
(ii) QUICK's statistical and analytical functions;
(iii) the establishment of a whole new Buy Side to Sell Side trading; and
(iv) order routing services connecting across the vast network of existing asset management companies, investment banks and brokerages jointly serviced by N2N and QUICK.

These services will be incorporated into the new N2N's TcPro Global series of cross border multi asset class, multi-exchange trading platform. The Company expects to offer these new services from mid-2015 onwards.

N2N Connect Berhad has been voted as one of the Most Innovative ICT Companies in The Top 10 of Malaysia 2014 Award. The award is a timely recognition for the Company as it continues to attract great talents to join in its pursuit to be Asia's Number 1 one-stop financial services company.

N2N's TcPro has firmly established itself as the trading platform of choice in Malaysia with almost 70% market share of the Equities segment and 80% market share of derivatives and commodities trading for FKLI and FCPO. The Company offers a full suite of products such asbrowser and mobile solutions, TcPlus and TcMobile. TcPro and GlobalConnect were the first in Asia to achieve CME (Chicago Mercantile Exchange) certification in 2009 and is becoming a globally recognized system on par with the elite offerings from the American and the European systems.

As we continue to invest in the Research and Development ("R & D") of a more scalable and advanced trading platform, we have also successfully replaced our own TcLite browser application with a more technologically advanced TcPlus system that operates across all major browsers on a variety of computing platform from Microsoft's Windows to Apple's MacOS and iOS as well as a variant of Linux and Android platform, making it a true cross-platform system.

N2N's Tier 3 ready Data Center was commissioned in the same year and has several prominent brokers and investment bank as clients. The Data Center is one of the few telco neutral data center in the country serving multiple telco nodes, from NTT to Telekom Malaysia, Time Telekom, Maxis, and more. The data center is also interconnected with other centers globally that are connected with TNS, Bloomberg, Thomson Reuters, GLNet, SingNet, Pacnet, PCCW, BT Radianz and others, making it one of the most open and inter-connected network services in the region.

We expect to extend the inter-connected network to Australia and Japan in 2015 making it one of the largest operated financial network systems in Asia.

Financial Performance Highlights

In order to hedge against the cyclical nature risks of the financial market, N2N will be diversifying its incomes stream from local to regional sources; trading to infrastructure and subscription; and investment. This diversification allows N2N to establish multiple incomes stream from 2015 onwards, a move that is both strategic as well as prudent.

Although revenue for the year increased marginally by 10% to RM34.3 million and net profit inched closer to RM7 million, the Company is setting a stronger foundation for future growth as it continues to invest aggressively into R & D. The Pair Trading system with award winning built-in algorithm that can operate 200 times faster than the commercially available product is expected to create excitement when it is launched. The new initiative is a result of a close collaboration with MIMOS, MDeC and NVIDIA, the leader in Graphic Processing Unit ("GPU") technology that is fast bridging the gaming world with the commercial world.

The planned roll out of the High Frequency Trading ("HFT") Platform is expected to create a new wave of excitement and the combination of Algorithm and HFT platform roll out should propel the entire industry to a higher level of competency.

Industry Trend and Development

Market Overview

Business Monitor International ("BMI") expects the Information Technology market will increase to a value of RM16.9 billion in 2013, up 6.8% from 2012, with growth fuelled by a supportive economic environment and government policy. In the enterprise market, growth will be slightly slower, with corporate customers more hesitant as a result of ongoing global economic uncertainty. However, there will be some areas of strong growth, including security software and services, as well as outsourcing and cloud computing.

Key Trends and Developments

The popularity of tablets is having a major impact on the Malaysian hardware market, although shipments of desktops are not in decline as in more developed markets, with personal computer ("PC") vendors able to tap demand from first time buyers. Government procurement is also supporting the market for traditional PC devices via its netbooks for education programme. There have been reports of increasing consumer interest in convertible notebooks/ultrabooks with integrated touch functionality, which BMI believes will take an increasing share of sales through 2014 as vendors innovate with design while prices continue to decline.

In the enterprise market, cyber security, cloud computing products and solutions are being deployed by an increasing number of firms promoting a greater awareness of cyber threats. Cloud computing growth has been catalysed by government policy, with Multimedia Super Corridor ("MSC") Malaysia seeing it as a strategic priority and working to develop a national cloud computing platform. Cloud projects are not confined to the national level, as state governments are also exploring this area. However, surveys have found that Malaysian organisations lag regional peers, such as Singapore, in terms of cloud awareness and adoption. Areas of weakness include Intellectual Property protection and data centre risk, although broadband infrastructure and connectivity has continued to improve, with the National Broadband Initiative, and new cables to Indonesia and Japan.

(Source: Malaysia Information Technology Report Q2 2014, Business Monitor International)

Research and Development

Over a decade in business, the Group continues its main focus on its R & D efforts as it believes R & D remains a critical factor for N2N to maintain its competitive edge and remain a leader in the constantly evolving financial industry.

As the Group caters primarily to investment banking and stockbroking companies outsourcing e-business locally and regionally, factors such as data security, accuracy, capacity, dependability, and speed are critical to the marketability of the Group's services. As such, the Group's R & D scope is to strengthen the performance of its existing e-commerce segment while developing and enhancing new applications and services, particularly its financial suite, eBrokerConnect™ and TraderConnect™ which incorporates a powerful technical analysis toolkit and innovative trading capabilities to deliver state-of-the-art desktop trading management system.

Besides investing almost 30% of its revenue on R & D, the Company will continue to invest in training and development skills for the employees in its R & D team and continue to encourage the development of fresh innovative concepts.

Future Prospects

Due to the Group's existing dominance in the domestic market, the Group continues to attract new businesses from other equities and derivatives solution users to adopt its new and enhanced flagship products and services. Regionally, the Group continues to secure new engagements from ASEAN and beyond to implement its solutions and services. The Group is also actively pursuing a few merger and acquisition targets it has identified that will be complementary to the Group's business activities.

The decision by The Philippine Stock Exchange to standardize TcPro Global to replace the outgoing PAM terminal as it migrates from the NYSE Euronext matching system to the NASDAQ OMX Xtreme platform is a strong endorsement for N2N and it lays a strong foundation for TcPro and TcPlus to become an important offering in The Philippines. Going forward, N2N's TcPro Global should play a more important role in ASEAN Link as it is the only system that is currently certified by all major ASEAN Exchanges (SGX, BM, IDX, SET, PSE) for both domestic retails as well as institutional trading, complying with the Exchange API. Beyond ASEAN, TcPro GlobalConnect is also certified for ASX, CME, HKEx, Tadawul, KSE, FXCM. It is now fully certified to trade truly multi-asset class from Equities to Derivatives, Options, Commodities, Bonds and FX.

From 2015 and onwards, N2N will begin to roll out a series of new services such as low latency trading which can outperform its existing system by 300-500%, a new fundamental and information services terminal in collaboration with QUICK, new analytic and Buy Side to Sell Side connectivity and trading suites and a whole new mobile platform. We also expect to commercialize our awards winning Algo Trading Platform starting with the Pair Trading system which can outperform its nearest competitors by almost 200 times.

Since Institutional Trading is a strategic segment of trading services, N2N has completed the merger of its Institutional and Retail trading platform into a single system known as TcPro Global. This new system combines the strength and flexibility of two platforms into a single platform equipped with turbo power. The inbuilt pro trading functions are expected to create a new hybrid trading strategy ability for traders who wish to enjoy greater trading strategy experiences.

For the first time, N2N is offering Back Office System ("BOS") capability known as TcBOS after it has overhauled its Broker Management System ("BMS") and evolved into a new series known as BMS Plus. BMS Plus will provide a single administrative control over the family suite of products including Order Management System ("OMS"), Market Maker, Exchange Gateway, Ticket Plant, TcBOS. TcBOS will also timely fill the need for brokers who wish to truly go cross border trading. They are no longer limited to just performing cross border trading, they can now perform direct BOS services for the cross border trades within a single platform.

2015 is also the year where N2N will escalate its effort to select a number of targeted companies to which it will acquire using its cash reserves from both its recent placement and operational cashflows.

The Board remains confident that, with a proven global strategy, continued strong execution and further differentiation in products and services, the Group will continue to deliver profitable growth in the coming year.

Acknowledgement

On behalf of the Board of Directors, I wish to extend the Board's appreciation to all our stakeholders for supporting us in marking our important milestones during the year under review.

I would also like to thank my colleagues on the Board, the management team and all the N2N staff for all their hard work, dedication, continued commitment and invaluable assistance to produce the robust performance of the Group. The achievement is a testimony of determination and dedication that our people have relentlessly pursued throughout the years.

I am confident that the journey in N2N will continue to be exciting and I look forward to yet another successful year ahead.

TIANG BOON HWA
Managing Director

DIRECTORS' PROFILE

Mr. Tiang Boon Hwa

52 years of age, Singaporean
Managing Director

Mr. Tiang Boon Hwa is one of the Company's founders and was first appointed to the Board of the Company on 24 August 2000. He obtained his Diploma in Computer Studies from City and Guilds of London Institute, UK in 1982. His main responsibilities include management of the Group's overall business, technology and financial matters. He started his career as a programmer with SGV Goh Tan Pte Ltd, a Singapore accounting cum software house and was promoted to senior consultant at the age of 25. In 1988, he left SGV Goh Tan Pte Ltd and headed the regional audit division (IT audit) of Citibank N.A South Asia, based in Singapore and was subsequently awarded the Best IT Auditor for Asia Pacific Region in 1989. He joined Computer Associates Pte Ltd in 1990 as an account manager and quickly rose to become the managing director for Computer Associates Pte Ltd's subsidiary in Malaysia in 1992. Later, he joined i2 Technologies Pte Ltd in 1996 as a regional director to set presence in several Asian countries. In 1998, he joined Exact Software Asia Sdn Bhd to start up the Asia Development Centre. Having gained wide exposure in both information technology and business operations, he began his entrepreneur pursuit by starting N2N, in year 2000 together with several friends.

He resigned as a member of the Remuneration Committee and Option Committee on 19 August 2014. He does not hold any directorships on the Board of other public listed companies in Malaysia.

He is a substantial shareholder of the Company and the spouse of Mdm. Lai Su Ping, the non-independent executive director and substantial shareholder of the Company. There is no conflict of interest with the Company. Within the last 10 years, he has not been convicted for any offences, other than traffic offences, if any. Please refer to page 120 of this Annual Report for his securities holding.

Mr. Chua Tiong Hoong

44 years of age, Malaysian
Non-Independent Executive Director

Mr. Chua Tiong Hoong is one of the Company's founders and currently an Executive Director of business development. He was first appointed to the Board of the Company on 10 August 2000. He graduated with a Bachelor of Science in Computer Science (Double Major in Mathematics and Computing) degree from the University of Adelaide (Australia) in 1992. His main responsibility includes managing the day-to-day operations focusing on project implementation and technical operations of our Group. He started his career as a network engineer at Applied Business System Sdn Bhd in 1993. He was later responsible for project development and also managing the company's helpdesk. In 1994, he joined MicroForest Systems (M) Sdn Bhd as a project manager to spearhead the implementation of resource planning, point-of-sales and back-end systems for retail and manufacturing industries.

He also supported the multilevel marketing and chemical manufacturing system. From 1997 to 2000, he was with Exact Software Asia Sdn Bhd as an assistant manager responsible for system development, specialising in Enterprise Resources Planning System. He founded N2N together with the founder members in 2000.

He sits as the Chairman of the Option Committee. He does not hold any directorships on the Board of other public listed company in Malaysia.

He has no family relationship with any other directors or major shareholders of the Company. There is no conflict of interest with the Company. Within the last 10 years, he has not been convicted for any offences, other than traffic offences, if any. Please refer to page 120 of this Annual Report for his securities holding.

Mdm. Lai Su Ping

44 years of age, Malaysian
Non-Independent Executive Director

Mdm. Lai Su Ping is one of the Company's founders and currently an Executive Director of marketing and corporate events. She was first appointed to our Board on 10 August 2000. She obtained her Diploma in Marketing from the Chartered Institute of Marketing, UK in 1991. She is primarily responsible for the corporate events and public relations of our Company. She started her career in 1988 as a marketing executive for Yvonex Sdn Bhd and later she joined Kumpulan Jetson Berhad as a project executive specialising in events and exhibition organisation. In 1994, she joined Computer Associates (M) Sdn Bhd as a channel manager where she was instrumental in establishing a customer service team as well as setting up channel sales via the appointment of product distributors.

She does not hold any directorships on the Board of other public listed companies in Malaysia.

She is a substantial shareholder of the Company and the spouse of Mr. Tiang Boon Hwa, the managing director and substantial shareholder of the Company. There is no conflict of interest with the Company. Within the last 10 years, she has not been convicted for any offences, other than traffic offences, if any. Please refer to page 120 of this Annual Report for her securities holding.

Ybhg Datuk Tan Boon Leng

49 years of age, Malaysian
Independent Non-Executive Director

Ybhg Datuk Tan Boon Leng was first appointed to the Board of the Company on 15 April 2009. He is currently a Director of Century Bond Bhd ("Century Bond") group of companies and he has over 31 years of business experience and contributed to the growth and expansion of the business of Century Bond and its subsidiaries especially in the areas of sales and marketing of the Century Bond Group's products.

He also sits as the Chairman of the Remuneration Committee and as a Member of the Nomination Committee and Audit Committee.

He has no family relationship with any other directors or major shareholders of the Company. There is no conflict of interest with the Company. Within the last 10 years, he has not been convicted for any offences, other than traffic offences, if any. Please refer to page 120 of this Annual Report for his securities holding.

Mr. Goh Fuqiang, Kenneth

34 years of age, Singaporean
Independent Non-Executive Director

Mr. Goh Fuqiang, Kenneth was appointed to the Board of the Company on 13 June 2013. He graduated with a Master of Science, Management Science & Engineering from Stanford University and Bachelor of Engineering, Biomedical Engineering from Imperial College London. He is currently a Director of 28 Holdings Pte Ltd since 2010. He was a Director of Corporate Strategic Development at Asiatravel.com, Singapore from 2011 to 2012. Prior to that, he was an Associate with the Government of Singapore Investment Corporation (GIC). He does not hold any directorships on the Board of other public listed companies in Malaysia.

He also sits as the Chairman of the Nomination Committee, Member of Audit and Remuneration Committee.

He has no family relationship with any other directors or major shareholders of the Company. There is no conflict of interest with the Company. Within the last 10 years, he has not been convicted for any offences, other than traffic offences, if any. Please refer to page 120 of this Annual Report for his securities holding.

Ybhg Dato' Chew Kong Seng

77 years of age, Malaysian
Independent Non-Executive Director
(appointed with effect from 19 August 2014)

Ybhg Dato' Chew Kong is a Fellow of the Institute of Chartered Accountants in England and Wales and member of the Malaysian Institute of Accountants and the Malaysian Institute of Certified Public Accountants.

Dato' Chew was a tax officer in the Inland Revenue Department in United Kingdom and then joined Stoy Hayward & Co in United Kingdom from 1964 to 1970. He returned to Malaysia and jointed Turquand Young & Co (now known as Ernst & Young) and was subsequently transferred to the Sarawak office in 1973, first as Manager in Charge and later as Partner in Charge. He was appointed as the Managing Partner of EY from 1990 until his retirement in 1996.

Dato' Chew is a Director of PBA Holdings Berhad, and Guocoland (Malaysia) Bhd, companies listed on the Main Market of Bursa Securities. He is the Chairman of the Audit Committee of the Company.

He does not hold any shares in the Company or its subsidiaries, has no family relationship with any Director and/or major shareholder of the Company, no conflict of interest with the Company and has no conviction for any offences within the past ten (10) years other than traffic offences, if any.

Mr. Akio Furuse

44 years of age, Japanese
Non-Independent Non-Executive Director
(appointed with effect from 7 July 2014)

Mr. Akio Furuse held various posts in QUICK Corp., including Staff of Sales Headquarters (Japan), Assistant Manager of London Branch (United Kingdom), Solutions Manager of Business Planning Department (Japan) and Deputy General Manager of Global Business Department (Japan). He serves as General Manager for Business Development at Nikkei Group Asia Pte. Ltd. (Singapore) He holds a Bachelor Degree in Sociology from Kansai University, Japan.

Mr. Furuse sits as a Member of the Remuneration Committee and Options Committee of the Company. He does not hold any shares in the Company or its subsidiaries, has no family relationship with any Director and/or major shareholder of the Company, no conflict of interest with the Company and has had no conviction for any offences within the past ten (10) years other than traffic offences, if any.

Mr. Tetsuya Iguchi

52 years of age, Japanese
Non-Independent Non-Executive Director
(appointed on 7 July 2014)

Mr. Tetsuya Iguchi has been Editor-in-Chief, Editorial Headquarters for Asia of Nikkei Inc. and Assistant to Managing Director (Singapore) at Nikkei Group Asia Pte. Ltd. since 2014. He joined Nikkei Inc. in 1985 and held various posts as a writer and an editor including Deputy Managing Editor, Editorial Bureau (Tokyo) at Nikkei Inc from 2013 to 2014 and Editor-in-Chief for the Nikkei Business Daily from 2011 to 2013. He has a B.A. in Political Science, Waseda University, Japan.

Mr. Iguchi sits as a Member of the Nomination Committee and Options Committee of the Company. He does not hold any shares in the Company or its subsidiaries, has no family relationship with any Director and/or major shareholder of the Company, no conflict of interest with the Company and has no conviction for any offences within the past ten (10) years other than traffic offences, if any.

Encik Izlan bin Izhab

69 years of age, Malaysian
Independent Non-Executive Chairman
(retired on 23 June 2014)

En. Izlan bin Izhab was first appointed to the Board of the Company on 22 August 2005. He holds a Bachelor of Laws degree from the University of London, UK and attended the Advanced Management Program at the University of Hawaii, USA. He occasionally lectures on Malaysian securities law, companies law and corporate governance for various public and private sector consultancy and training organizations. He was the Executive Vice-President of Corporate and Legal Affairs of Bursa Malaysia Berhad from 1985 until his retirement in 2000. He was also serving as Company Secretary for Kompleks Kewangan Malaysia Berhad from 1975 to 1978, before becoming the Company Secretary for Permodalan Nasional Berhad from 1978 to 1984. He began his career by serving as an Assistant Legal Officer for Majlis Amanah Rakyat in 1973.

He is currently a Director of BOX-PAK (Malaysia) Berhad, Sun Life Malaysia Takaful Berhad (formerly known as CIMB Aviva Takaful Berhad, K&N Kenanga Holdings Berhad, Reach Energy Berhad and UOB Asset Management (Malaysia) Berhad. He is also a member of the Board of Governors of Research Institute of Investment Analysts and Bursa Malaysia Berhad's Appeals Committee.

Prior to his retirement as Director of the Company, he was the Chairman of the Option Committee and a member of the Audit Committee, Nomination Committee and Remuneration Committee.

He has no family relationship with any other directors or major shareholders of the Company. There is no conflict of interest with the Company. Within the last 10 years, he has not been convicted for any offences, other than traffic offences, if any. He does not hold any shares in N2N.

Mr. Cho Wai Loon

50 years of age, Malaysian
Independent Non-Executive Director
(retired on 23 June 2014)

Mr. Cho Wai Loon was first appointed to the Board of the Company on 22 August 2005. He is a fellow member of the Association of Chartered Certified Accountants ("ACCA") and Malaysian Institute of Taxation as well as a member of the Malaysian Institute of Accountants. He has more than 20 years of experience in the field of management consulting, accounting and taxation. He started out his accountancy career as a trainee in 1982. From 1982 to 1994, he was attached to several public accounting firms gaining multiple experiences. He currently operates his own practice providing management consultancy, secretarial and accounting services.

Prior to his retirement as Director of the Company, he was the Chairman of the Audit Committee and as a member of the Nomination Committee, Remuneration Committee and Option Committee. He does not hold any directorships on the Board of other public listed companies in Malaysia.

He has no family relationship with any other directors or major shareholders of the Company. There is no conflict of interest with the Company. Within the last 10 years, he has not been convicted for any offences, other than traffic offences, if any.

EVENT HIGHLIGHTS

HOLLYWOOD GLAMOROUS ANNUAL DINNER 2014

N2N Bootcamp (Cambodia)

Blood Donation Campaign

MDeC's Product Commercialization Fund (PCF)

Corporate Social Resposibility

AGM & EGM

Christmas Party

CORPORATE GOVERNANCE STATEMENT

THE CODE

The Board of Directors ("the Board") of N2N Connect Berhad ("Company") acknowledges that Corporate Governance is a form of self-regulation which is aimed at maximizing shareholders' value. The Board strives to achieve the best practices in Corporate Governance as outlined by the Malaysian Code on Corporate Governance 2012 (the "Code") in carrying out its duties and responsibilities.

The Company has adopted a number of measures to ensure effectiveness of the Board in discharging its duties and responsibilities.

THE BOARD OF DIRECTORS

The Group is led and controlled by an effective Board consisting of professionals and competent individuals of caliber with diverse backgrounds, expertise and experience in various fields such as business, technical, marketing and finance considered suitable for managing the Group's businesses. The appointment of Independent Non-Executive Directors who are not members of the management will ensure that they are free of any relationship which could interfere with the exercise of independent judgement or ability to act in the best interests of the Group ensuring that any decision of the Board is deliberated fully and objectively with regard to the long term interest of all stakeholders. The Executive Directors, representing the Management, are responsible for implementing the corporate strategies and management of day-to-day operations of the business.

The roles of the Chairman and the Managing Director were separated with En Izlan Bin Izhab as the Independent Non-Executive Chairman of the Board and Mr Tiang Boon Hwa as the Managing Director. En Izlan retired as the Director of the Company on 23 June 2014. The Company is in the midst of identifying a suitable candidate to fill in the position of Chairman arising from his retirement. The Chairman is responsible to ensure that the Board functions properly with appropriate corporate governance practices and procedures, while the Managing Director is responsible for the day-to-day operations and business activities of the Group. This is to ensure a balance of power and authority.

Within the powers accorded by the Company's Articles of Association ("Articles"), the Board is charged with amongst others, the development of corporate objectives and the review and approval of corporate plans, overseeing the conduct of the Company's business, acquisitions and disposal of undertakings and properties of substantial value, major investments and financial decisions and changes to the management and control structure within the Group including key risk management, treasury, financial and operational policies and delegated authority limits.

(i) Composition

The Board currently consists of eight (8) Directors, three (3) of whom are Independent Non-Executive Directors, and two (2) Non-Independent Non-Executive Directors. The Board composition is in compliance with the ACE Market Listing Requirement ("ACE LR") where at least one-third of the Board comprises of Independent Directors.

(ii) Board Meetings

During the financial year ended 31 December 2014, seven (7) Board Meetings were held. The Directors' attendance records at the Board Meetings for the last financial year are as follows:

Directors	No. of Board Meetings attended
Mr. Tiang Boon Hwa	7/7
Mdm. Lai Su Ping	7/7
Mr. Chua Tiong Hoong	7/7
Ybhg Datuk Tan Boon Leng	7/7
Mr. Goh Fuqiang, Kenneth	5/7
Mr. Akio Furuse *(appointed with effect from 07.07.2014)*	2/2
Mr. Tetsuya Iguchi *(appointed with effect from 07.07.2014)*	2/2
Ybhg Dato' Chew Kong Seng *(appointed with effect from 19.08.2014)*	2/2
En. Izlan bin Izhab *(retired on 23.06.2014)*	5/5
Mr. Cho Wai Loon *(retired on 23.06.2014)*	5/5

(iii) Directors' Training and Continuing Education Program

The Board is constantly encouraged to attend programmes and seminars to keep abreast with the latest development in the industry and market place.

All members of the Board have attended the Mandatory Accreditation Programme prescribed by Bursa Securities. Apart from attending various conferences and seminars organized by external organizers, the Board also benefited from technical briefings which were conducted by in-house professionals. During the year, the Directors attended the following seminars and trainings for continuous professional development:

- LEAN Summit 2014. Building a Sustainable Competitive Advantage organised by Competitive Dynamics International
- Leadership & Self Deception Arbinger Core at Work organised by Arbinger (Malaysia) Sdn Bhd
- ICMAC 2014 (International Conference on Managing the Asian Century)
- Trust Funded Employee Share Option Scheme (ESOS) and Share Grant Plan (SGP) Seminar organized by Pacific Trustees Berhad
- Mandatory Accreditation Programme (MAP) for New Directors of Public Listed Companies organised by Bursatra Sdn Bhd

The Board will continue to identify other training programs that can further enhance their knowledge in the latest development relevant to the Group, especially in the area of corporate governance and regulatory development, to enable them to discharge their responsibilities effectively.

(iv) Re-Election of Directors

In accordance with the Company's Articles of Association, at least one-third of the Board, including Managing Director, shall retire and is subject to re-election and each Director shall stand for re-election at least once every three (3) years.

None of the Independent Directors have served for a cumulative term of 9 years as at the date of this report.

(v) Appointments to the Board

The Nomination Committee recommends the appointment of new Directors to the Board. The selection, nomination and appointment of suitable candidates to the Board of N2N follow a transparent process.

Review of candidates for Board appointment has been delegated to the Nomination Committee and such responsibilities include the review of the existing composition of the Board to identify the gaps based on N2N's Board composition framework and subsequently review and recommend to the Board a candidate with the relevant skillsets, expertise and experience to fill the gaps. In addition to the above, other criteria, such as integrity, existing commitments and potential conflict of interests are also considered in assessing the suitability of candidates for appointment to the Board.

The process adopted by N2N for Board appointments is as follows:-

1. Identify Gaps/Vacancy
2. Identification of Candidates
3. Evaluation of Suitability of Candidates
4. Meet Shortlisted Candidates
5. Final Deliberation by Nomination Committee
6. Recommendation to the Board
7. Board approval

(vi) Board Effectiveness Assessment

An assessment of the effectiveness of the Independent Directors, Executive Directors and the Board Committees is carried out annually. The objective is to improve the Board's effectiveness by identifying gaps, maximize strengths and address weaknesses. The Chairman of the Board oversees the overall evaluation process and responses are analysed by the Nomination Committee, before being tabled and discussed at the Board.

(vii) Directors' Remuneration

Executive Directors

The Company's policy on remuneration for the Executive Directors remains similar to previous years to ensure that the level of remuneration is generally set to provide market competitiveness to attract, retain and motivate Executive Directors of the highest calibre to competently manage the Company. The component parts of the remuneration are therefore structured to link the remuneration package with corporate and individual performance and in the same industry.

The Remuneration Committee reviews and recommends the remuneration package of the Executive Directors for the Board's approval and it is the responsibility of the Board as a whole to approve the total remuneration package of the Executive Directors, giving due consideration to laws and corporate governance principles. The current remuneration policy of the Executive Director consists of basic salary, performance-linked bonus, benefits-in-kind, EPF contributions and share awards/share options respectively based on the recommendation of the Remuneration Committee.

Non-Executive Directors

N2N's Non-Executive Directors are remunerated with set fees which generally reflect the experience, expertise and level of responsibilities undertaken by the Non-Executive Directors concerned based on industry standards. Non-Executive Directors are not entitled to share options, performance based pay or bonuses.

This enables the Non-Executive Directors to maintain independence and impartiality in making decisions affecting the future direction of the Company. The remuneration of all Directors is decided by the Board collectively after a review by the Remuneration Committee. Individual Directors do not participate in decisions regarding his/her remuneration package.

SUPPLY OF INFORMATION

The Directors will be provided with all relevant information in sufficient time, prior to the date of scheduled Board Meetings. This is to enable the Board members to obtain further explanation or clarification to facilitate the decision making process and meaningful discharge of their duties.

The Directors will be able to seek professional advice as and when necessary and the Board will formalise the procedures for Directors to take independent advice, in the furtherance of their duties.

The Directors are also regularly updated by the Company Secretaries on new statutory and regulatory requirements concerning their duties and responsibilities as and when necessary. All Directors have direct access to the advice and services of the Company Secretaries who ensures that all appointment are properly made and that all necessary information is obtained from the Directors, both for the Company's own records or for the purposes of meeting statutory obligations, as well as obligations arising from the ACE LR or other regulatory requirements.

Information provided to the Directors goes beyond the quantitative performance data as it includes qualitative information for the Directors to obtain a holistic view on the issues deliberated.

STRATEGIES PROMOTING SUSTAINABILITY

The Board promotes good Corporate Governance in the application of sustainability practices throughout the Company, the benefits of which are believed to translate into better corporate performance. A detailed report on sustainability activities, demonstrating the Company's commitment to the environment, social, governance and sustainability agenda, appears in the Corporate Social Responsibility Statement of this Annual Report and corporate website.

BOARD CHARTER

The Board Charter has been approved by the Directors and will be posted on the Company's website. In the course of establishing a board charter, the Board recognized the importance to set out the key values and principles of the Company, as policies and strategy development are based on these considerations. The Board Charter includes the division of responsibilities and powers between the board and management as well as the different committees established by the Board.

CODE OF CONDUCT

The Code of Conduct ("COC") is currently being drafted and will be posted on the Company's website after the Board's approval. In the course of establishing the code of conduct, the Board recognizes the importance to promote and reinforce ethical standards throughout the Group. Moving forward, the Company will continuously support, promote and ensure compliance to the COC. The COC willl not only apply to every employee of the Group, but also to every Director (executive and non-executive). Furthermore, the Company will strive to ensure our consultants, agents, partners, representatives and others performing work or services for or on behalf of the Company comply with COC.

BOARD COMMITTEES

The Board has established the following committees:

(i) Nomination Committee

The Nomination Committee ensures that the Directors of the Board bring characteristics to the Board, which provides a required mix of responsibilities, skills and experience. The Nomination Committee will also assist the Board in reviewing on an annual basis the appropriate balance and size of Non-Executive participation and in establishing procedures and processes towards an annual assessment of the effectiveness of the Board as a whole, the Committees of the Board and contribution of each individual Director.

This Committee is chaired by Mr Goh Fuqiang, Kenneth (appointed on 19.08.2014) and the members are Ybhg Datuk Tan Boon Leng and Mr Tetsuya Iguchi (appointed on 19.08.2014).

The Nomination Committee, in recommending candidates for appointment to the Board, assesses the candidates' experience, background and skills required by the Board. The Company believes that individuals with diverse background on the Board of Directors could improve board functioning and the decision making process. Harnessing strength from a variety of backgrounds, experiences and perspectives allows the Board to bring diverse perspectives in its deliberations. Ultimately, board diversity is about providing complimentary views that lead to better board decisions. Appointments to the Board shall be based particularly on merits and capabilities with focus on the breadth of experience and views each Director brings to the Board.

The Nomination Committee, in assessing the performance and effectiveness of the Board as a whole, Board Committees, as well as each individual Director, on an annual basis includes the specific assessment of independence of Independent Directors in the annual performance assessment. Each Independent Non-Executive Director is obligated, nevertheless, to ensure his or her independence is in accordance with the ACE Listing Requirements.

Gender Diversity

The Board does not have any gender diversity policies and targets or any set measures to meet any target. Nevertheless, the Group is an equal opportunity employer and all appointments and employments are based strictly on merits and are not driven by any racial or gender bias.

The Nomination Committee meets as and when necessary and may decide by way of circular resolutions. The Nomination Committee held one (1) meeting during the financial year ended 31 December 2014 with full attendance.

(ii) Remuneration Committee

The Remuneration Committee acts as a committee of the full Board to assist in assessing the remuneration of the Directors reflecting the responsibility and commitment undertaken by the Board membership.

This Committee is chaired by Ybhg Datuk Tan Boon Leng and the other members include Mr Goh Fuqiang, Kenneth (appointed on 19.08.2014) and Mr Akio Furuse (appointed on 19.08.2014).

In general, the Remuneration Committee shall not have delegated powers from the Board to implement its recommendations but shall be obliged to report its recommendations to the full Board for consideration and implementation.

In carrying out its duties and responsibilities, the Remuneration Committee has:

(a) full, free and unrestricted access to any information, records, properties and personnel of the N2N Group; and

(b) the power to obtain independent professional advice and expertise necessary for the performance of its duties.

All members of the Remuneration Committee have access to the advice and services of the Company Secretary and Head of Human Resources.

The Remuneration Committee meets as and when necessary and may decide by way of circular resolutions. The Remuneration Committee held one (1) meeting during the financial year ended 31 December 2014 with full attendance.

(iii) Option Committee

The Company obtained approvals from the shareholders at a general meeting on 13 October 2005 and 18 October 2005 to establish the Employees Share Option Scheme ("ESOS"). An Option Committee was set up to administer the ESOS in accordance with the By-Laws. Pursuant to the Board's approval on 24 August 2010, the tenure of the ESOS has been extended for a further 5 years, expiring on 22 December 2015.

This Committee is chaired by Mr Chua Tiong Hoong (appointed on 19.08.2014) and the other members include Mr Akio Furuse (appointed on 19.08.2014) and Mr Tetsuya Iguchi (appointed on 19.08.2014).

The Option Committee meets as and when necessary and may decide by way of circular resolutions.

(iv) Audit Committee

The Audit Committee is chaired by Ybhg Dato' Chew Kong Seng (appointed on 19.08.2014), and the other members include Mr Goh Fuqiang, Kenneth (appointed on 19.08.2014), and Ybhg Datuk Tan Boon Leng. Fuller details of the composition of the Committee are found in the Audit Committee Report.

DIRECTORS' REMUNERATION

Details of the remuneration of Directors for the financial year are as follows:

(i) Aggregate remuneration of Directors categorized into appropriate components:

	Executive RM	Non-Executive RM
Fees	105,860	87,840
Salaries and bonuses	2,083,227	-
Total	2,189,087	87,840

(ii) Number of Directors whose remuneration falls into the following bands:

	No of Directors	
Remuneration Band	**Executive**	**Non-Executive**
RM1,001 – RM50,000	-	4
RM100,001 – RM150,000	1	-
RM150,001 – RM200,000	1	-
RM850,001 – RM900,000	1	-
Total number of directors	3	4

SHAREHOLDERS COMMUNICATION AND INVESTORS RELATIONS POLICY

Dialogue between the Company and Investors

The Company recognizes the importance of being accountable to its shareholders and investors through maintenance of an open communication policy with investors and shareholders alike. In ensuring effective communication, the Company communicates with its shareholders and investors through various means and forums such as the annual report, company visits, site visits, annual general meetings, exhibition and other Group activities.

Any information that may be regarded as undisclosed material information about the Group will not be given to any single shareholder or shareholder group. To ensure that shareholders and investors are well informed of major developments of the Group, information is disseminated to shareholders and investors through various disclosures and announcements to Bursa Securities which include quarterly financial results and press release from media. Such disclosures and announcements, as well as information pertaining to corporate governance are also available on the Company's website: www.n2nconnect.com.

At each Annual/Extraordinary General Meeting, Executive Directors and, where appropriate, the Chairman are available to respond to shareholders' questions during the meeting.

Annual/Extraordinary General Meeting

Notice of the Annual General Meeting and Annual Reports are sent out to shareholders at least 21 days before the date of the meeting.

Besides the normal agenda for Annual General Meeting, the Board also provides opportunities for shareholders to raise questions pertaining to the business activities of the Group. All Directors are available to provide responses to shareholders' questions during these meetings.

Shareholders have a right to demand for a poll at each general meeting.

ACCOUNTABILITY AND AUDIT

Financial Reporting

The Board takes responsibility for presenting a balanced and meaningful assessment of the Group's operations and prospects each time it releases its quarterly and annual financial results. The Board is assisted by the Audit Committee to oversee the Group's financial reporting processes and the quality of its financial reporting. The Statement by Directors pursuant to Section 169(15) of the Companies Act, 1965 is set out on page 50 of this Annual Report.

Directors' Responsibility in Financial Reporting

In preparing the financial statements of the Group for the financial year ended 31 December 2014, the Directors have:

- Adopted suitable accounting policies and then apply them consistently;
- Made judgments and estimates that are reasonable and prudent;
- Ensured compliance with applicable accounting standards;
- Prepared financial statements on the going concern basis unless otherwise stated; and
- Ensured proper maintenance of accounting records, disclosing reasonable accuracy in the financial position of the Group.

The Directors are also responsible for safeguarding the assets of the Group, and hence for taking reasonable steps to safeguard the assets of the Group and to detect and prevent fraud and other irregularities.

Risk Management and Internal Control

The Board of Directors is aware of its responsibility to maintain a sound system of risk management and internal controls to safeguard shareholders' investment and the Group's assets. It will be an ongoing process for identifying, evaluating and managing the significant risk faced by the Group in the future and this will be regularly reviewed by the Board up to the date of approval of the Annual Report. The main elements of this system are designed to manage rather than eliminate the risk of failure to achieve business objectives and can only provide reasonable and not absolute assurance against material misstatement or loss. The principle is further elaborated under the Statement on Risk Management and Internal Control by the Directors as set out on page 26 of this Annual Report.

The Board and Audit Committee have appointed Smart Focus (M) Sdn. Bhd., the outsourced professional firm for the establishment of an independent internal audit function which is in compliance with the ACE LR. The Board and the Audit Committee also work closely with external auditors on the functions of internal controls from time to time, to ensure the smooth running of the Company's operations.

Relationship with the Auditors

The Board is aware that it should, through the Audit Committee, maintain a transparent and formal relationship with the external auditors, in the review of the external auditors' plan, report and procedures and the assistance given by the Group's employees to the external auditors. The Board is also aware that the Audit Committee will review any letter of resignation from the external auditors, the suitability of the external auditors for re-appointment and recommends the nomination of other person or persons as external auditors.

Assessment of Suitability and Independence of External Auditors

The Audit Committee undertakes an annual assessment of the suitability and independence of the external auditors. It is the policy of the Audit Committee to meet with the external auditors at least twice a year to discuss their audit plan, audit findings and the Company's financial statements. At least one of these meetings is held without the presence of the Executive Directors and the Management. The Audit Committee also meets with the external auditors additionally whenever it deems necessary. In addition, the external auditors are invited to attend the Annual General Meeting of the Company and are available to answer shareholders' questions on the conduct of the statutory audit and the preparation and contents of their audit report.

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL

INTRODUCTION

The Board, as guided by the ACE LR and the Statement on Risk Management and Internal Control (Guidelines for Directors of Listed Issuers) ("Internal Control Guidelines") is pleased to provide the following Statement which outlines the nature and scope of risk management and internal controls of the Group during the financial year in review.

THE BOARD'S RESPONSIBILITIES

The Board of Directors recognizes its responsibilities over the Company's system of internal controls, covering all its financial and operating activities to safeguard shareholders' investment and the Company's assets. The Board has established an ongoing process for identifying, evaluating and managing the significant risks encountered by the Company. The Board of Directors and Audit Committee contribute to the effectiveness of the control environment. They give opportunities for Management to rationalize and justify their initiatives and the Board requires justification for any decision plan by the management and supported by relevant reports. The Audit Committee meets every quarter, and deliberate reports from Management under its authority. In view of the limitations inherent in any system of internal controls, the system is designed to manage, rather than to eliminate, the risk of failure to achieve the Company's corporate objectives. The Audit Committee assists the Board to review the adequacy and integrity of the system of internal controls in the Company and to ensure that an appropriate mix of techniques is used to obtain the level of assurance required by the Board.

CONTROL ENVIRONMENT

N2N Connect Berhad has an organization structure that is aligned to business requirements. The internal control mechanism is embedded in the various work processes at appropriate levels in the Company. The Managing Director is accountable for ensuring the existence and effectiveness of internal control and provides leadership and direction to senior management on the manner the Company controls its businesses, the state of internal control and its activities. In developing the internal control systems, consideration is given to the overall control environment of the Company, assessment of financial and operational risks and monitoring mechanism.

INTERNAL AUDIT

The Company's internal audit function is outsourced to external consultants. The Internal Audit team reviews the risk identification procedures and control processes implemented by the management, conducts audits that encompass reviewing critical areas that the Company faces, and reports to the Audit Committee on a periodic basis. The Internal audit team assesses compliance with policies and procedures and provides independent assurance on the adequacy and effectiveness of risk management and internal control. In addition, the Internal audit team examines and evaluates the effectiveness and efficiency of the Group's internal control system using the risk-based audit approach. Any significant weaknesses identified during the reviews together with the improvement measures to strengthen the internal controls were reported to the Audit Committee. Reports on internal control findings, together with recommendations for Management actions, are reviewed by the Audit Committee. The internal audit reviews conducted did not reveal significant weaknesses which would result in material losses or contingencies requiring disclosure in this Annual Report.

The total cost incurred on internal audit for the financial year ended 31 December 2014 was RM12,500.

RISK MANAGEMENT

Risk management is embedded in N2N's management system and is every employee's responsibility as the Company firmly believes that risk management is critical for the company's continued profitability and the enhancement of shareholder value. The Company has an ongoing process for identifying, evaluating and managing the significant risks faced by the Company throughout the financial year under review. This is to ensure that all high risk areas are adequately addressed at various levels within the company. The Company's policies and procedures are reviewed and revised periodically to meet changing business and operational needs.

INFORMATION, COMMUNICATION AND MONITORING

While the Management has full responsibility in ensuring the effectiveness of internal control, which it establishes, the Board of Directors has the authority to assess the state of internal control as it deems necessary. In doing so, the Board has the right to enquire information and clarification from Management as well as to seek inputs from the Audit Committee, external and internal auditors, and other experts at the expense of the Company.

The Board reviews the effectiveness of the risk management and internal control systems through the following monitoring and assessment mechanisms:

1. On a quarterly basis, Management updates the Board on the Company's actual financial performance against budget. Specific transactions, projects opportunities are also discussed with the Board as and when required. This allows the Board to raise potential new risks that could arise and request Management to mitigate them accordingly.

2. The key management staff and Heads of department are delegated with the responsibility of identifying and managing risks related to their functions and departments. At the periodic management meetings, such risk identified and related internal controls are communicated to the Senior Management. In additional, significant risk identified are cascaded to the Board at their scheduled meetings.

ASSURANCE FROM THE MANAGEMENT

The Board has also received reasonable assurance from the Managing Director that the Company's risk management and internal control system are operating adequately and effectively, in all material aspects, based on the model adopted by the Company.

REVIEW OF STATEMENT BY EXTERNAL AUDITORS

In accordance with the LR of Bursa Malaysia, and code of corporate governance the external auditors have reviewed this Statement on Internal Control and reported that nothing has come to their attention that causes them to believe that the contents of this Statement is inconsistent with their understanding of the actual processes carried out in the Company.

This statement is based on the consideration of the audit work performed by both the External Auditors and the Internal Auditors on financial and non-financial matters.

CONCLUSION

The Board is pleased to report that there were no major internal control weaknesses identified during the year, nor have any of the reported weaknesses resulted in material losses or contingencies requiring disclosure in the Company's Annual Report. The Board is of the view that the existing system of the internal control is adequate and sound to provide reasonable assurance in safeguarding shareholder's investments, the Company's assets and other stakeholders' interest as well as in addressing key risks impacting the business operations of the Company. Nevertheless, Management continues to take measure to strengthen the control environment.

AUDIT COMMITTEE REPORT

The Board of Directors of N2N Connect Berhad is pleased to present the report of the Audit Committee for the year ended 31 December 2014.

The Audit Committee was established by a resolution of the Board on 13 October 2005.

MEMBERS AND MEETINGS

The Members of the Audit Committee comprises the following directors.

	Composition of the Audit Committee	Attendance at the Committee Meetings held during the financial year ended 31 December 2014
Chairman	Ybhg Dato' Chew Kong Seng *(Appointed on 19.08.2014)* *(Independent Non-Executive Director)*	2/2
Member	Ybhg Datuk' Tan Boon Leng *(Independent Non-Executive Director)*	4/5
Member	Mr. Goh Fuqiang, Kenneth *(Appointed on 19.08.2014)* *(Independent Non-Executive Director)*	1/2
Ex-Chairman	Mr. Cho Wai Loon *(Ceased as member on 23.06.2014)* *(Independent Non-Executive Director)*	3/3
Ex-Member	En. Izlan Bin Izhab *(Ceased as member on 23.06.2014)* *(Independent Non-Executive Director)*	3/3

TERMS OF REFERENCE OF THE AUDIT COMMITTEE

COMPOSITION

(1) The company must appoint an audit committee from amongst its directors which fulfils the following requirements:-

(a) the Committee must be composed of no fewer than 3 members;
(b) all the Committee members must be non-executive directors, with majority of them being independent;

(c) at least one member of the Committee:-

(i) must be a member of the Malaysian Institute of Accountants; or
(ii) if he is not a member of the Malaysian Institute of Accountants, he must have at least 3 years working experience and:-

- he must have passed the examinations specified in Part I of the 1st Schedule of the Accountants Act 1967; or
- he must be a member of one of the associations of accountants specified in Part II of the 1st Schedule of the Accountants Act 1967.

(iii) fulfills such other requirements as prescribed or approved by the Exchange.

(2) No alternate Director shall be appointed as a member of the Committee.

(3) The members of the Committee shall elect a Chairman from among their member who shall be an independent director.

(4) In the event of any vacancy in the Committee resulting in the non-compliance of subparagraph 15.09(1) of the ACE LR, the Board of Directors shall, within three (3) months of that event, appoint such number of new members as may be required to make up the minimum number of three (3) members.

QUORUM

The quorum of the Committee shall be two (2) of whom the majority of members present shall be independent Directors.

ATTENDANCE AND MEETINGS

The Committee may invite any member of the management, employees, other Directors and representatives of the internal and external auditors to be present at meetings of the Committee.

The Committee shall meet at least four (4) times a year and such additional meetings as the Chairman shall decide in order to fulfill its duties. In addition, the Chairman may call a meeting of the Committee if a request is made by any Committee member, the Company's Managing Director, or the internal or external auditors.

FUNCTIONS

The Committee shall, amongst others, discharge the following functions:-

(1) review the following and report the same to the Board of Directors:

(a) with the external auditor, the audit plan;
(b) with the external auditor, his evaluation of the system of internal controls;

(c) with the external auditor, his audit report;
(d) the assistance given by the employees of the Company to the external auditor;
(e) the adequacy of the scope, functions, competency and resources of the internal audit functions and that it has the necessary authority to carry out its work;
(f) the internal audit programme, processes, the results of the internal audit programme, processes or investigation undertaken and whether or not appropriate action is taken on the recommendations of the internal audit function;
(g) review the risk management framework, processes and responsibilities and assess whether they provide reasonable assurance that risks are managed within tolerable ranges;
(h) the quarterly results and year end financial statements, prior to the approval by the Board of Directors, focusing particularly on:-

    (i) changes in or implementation of major accounting policy changes;
    (ii) significant and unusual events; and
    (iii) compliance with accounting standards and other legal requirements;

(i) any related party transaction and conflict of interest situation that may arise within the Company or Group including any transaction, procedure or course of conduct that raises questions of management integrity;
(j) any letter of resignation from the external auditors of the Company; and
(k) whether there is reason (supported by grounds) to believe that the Company's external auditor is not suitable for re-appointment; and

(2) recommend the nomination of a person or persons as external auditors.

PROCEDURE

The Committee may regulate its own procedure, in particular:-

(a) the calling of meetings;
(b) the notice to be given of such meetings;
(c) the voting and proceedings of such meetings;
(d) the keeping of minutes; and
(e) the custody, production and inspection of such minutes.

AUDIT COMMITTEE REPORT

(1) The Committee shall ensure that an Audit Committee Report be prepared at the end of each financial year that complies with sub-Rules (2) and (3) below.

(2) The Committee report must be clearly set out in the annual report of the Company.

(3) The Committee report shall include the following:-

(a) the composition of the Committee, including the name, designation (indicating the chairman) and directorship of the members (indicating whether the directors are independent or otherwise);
(b) the terms of reference of the Committee;
(c) the number of Committee meetings held during the financial year and details of attendance of each Committee member;
(d) a summary of the activities of the Committee in the discharge of its functions and duties for that financial year of the Company; and
(e) a summary of the activities of the internal audit function or activity.

RIGHTS OF THE AUDIT COMMITTEE

The Committee shall, wherever necessary and reasonable for the performance of its duties in accordance with a procedure to be determined by the Board of Directors and at the cost of the Company:-

(a) have authority to investigate any matter within its terms of reference;
(b) have the resources which are required to perform its duties;
(c) have full and unrestricted access to any information pertaining to the Company;
(d) have direct communication channels with the external auditors and person(s) carrying out the internal audit function or activity;
(e) be able to obtain independent professional or other advice; and
(f) be able to convene meetings with the external auditors, the internal auditors or both, excluding the attendance of other directors and employees of the Company, whenever deemed necessary.

REPORTING OF BREACHES TO BURSA SECURITIES

Where the Committee is of the view that a matter reported by it to the Board of Directors of the Company has not been satisfactorily resolved resulting in a breach of the ACE LR, the Committee shall promptly report such matter to Bursa Securities.

REVIEW OF THE AUDIT COMMITTEE

The Board of Directors must review the term of office and performance of the Committee and each of its members at least once every 3 years to determine whether the Committee and members have carried out their duties in accordance with their terms of reference.

SECRETARY

The Secretary to the Committee shall be the company secretary.

SUMMARY OF ACTIVITY OF THE COMMITTEE

The Audit Committee had undertaken the following activities during the financial year ended 31 December 2014:

(i) reviewed the unaudited quarterly financial results for the quarters ended 31 December 2013, 31 March 2014, 30 June 2014, and 30 September 2014 for submission to the Board;

(ii) reviewed the draft audited financial statements for the financial year ended 31 December 2013 and its compliance to the financial reporting standards, and discussed with the external auditors in relation to audit issues, audit reports, assistance provided by the management, management letter;

(iii) reviewed the related party transactions, if any, arising within the Company and/or the Group;

(iv) reviewed the Statement on Allocation of Options Under the Employees Share Options Scheme ("ESOS");

(v) reviewed the Chairman's Statement, Statement on Corporate Governance, Statement on Risk Management and Internal Control, Statement on Corporate Social Responsibility, and Audit Committee Report for inclusion in the Annual Report 2014;

(vi) reviewed the draft Statement in relation to the Proposed Renewal of the Authority for Share Buy-Back;

(vii) recommended to the Board the re-appointment of the external auditors for the financial year ended 31 December 2013 and their audit fees;

(viii) considered and approved the External Auditors' Audit Planning Memorandum for the financial year ended 31 December 2014;

(ix) reviewed the Internal Audit Strategic Plan for the financial year ended 31 December 2014 and year ending 31 December 2015; and

(x) reviewed the Internal Audit Report on the critical operational areas of the Group.

INTERNAL AUDIT FUNCTION

For the financial year ended 31 December 2014, the Board and Audit Committee have appointed Smart Focus (M) Sdn Bhd, the outsourced professional firm for the establishment of an independent internal audit function which is in compliance with the ACE LR. The costs incurred for this internal audit function was RM12,500.

The internal audits were undertaken to provide independent assessments on the adequacy, efficiency and effectiveness of the Group's internal control systems in the assessment of potential risk exposures over key business processes within the Group. The Audit Committee has full and direct access to the Internal Auditors and received reports on all internal audit engagements performed.

The internal audit provides assurance that adequate and effective internal controls are in place and relevant policies, procedures and guidelines and applicable laws and regulations are adhered to.

The Audit Committee reviews the audit reports and directs the Management for the necessary corrective actions and process improvements. The Management is responsible for ensuring that the recommendations are implemented accordingly.

SUMMARY OF ACTIVITY OF THE INTERNAL AUDIT FUNCTION

The internal audit function had reviewed the internal control systems of the Company for the year ended 31 December 2014 according to the risk-based internal audit plan which had been approved by the Audit Committee, which covered the following areas:

- Accounts & Finance Operation
- Human Resources & Administration Management
- Property Management
- Sales, Marketing and Business Development
- Procurement
- Operations & Project Management
- Legal Department
- Document Control Management

ESOS

During the financial year, no allocation of share options was made by the Company pursuant to the ESOS and no share options was offered to and exercised by non-executive directors under the ESOS.

NOMINATION COMMITTEE REPORT

The Board of Directors of N2N Connect Berhad is pleased to present the report of the Nomination Committee for the year ended 31 December 2014.

The Nomination Committee ("the Committee") was established to act as a Committee of the Board of Directors to assist the Board of Directors on all new Board and Board Committee appointments.

The Nomination Committee met once during the financial year under review and the attendance record is as follows:-

	Composition of the Nomination Committee	Attendance at the Committee Meetings held during the financial year ended 31 December 2014
Chairman	Mr. Goh Fuqiang, Kenneth *(Appointed on 19.08.2014)* *(Independent Non-Executive Director)*	-
Member	Yhbg Datuk Tan Boon Leng *(Independent Non-Executive Director)*	1/1
Member	Mr. Tetsuya Iguchi *(Appointed on 19.08.2014)* *(Non-Independent Non-Executive Director)*	-
Ex-Member	En. Izlan Bin Izhab *(Ceased as member on 23.06.2014)* *(Independent Non-Executive Director)*	1/1
Ex-Chairman	Mr. Cho Wai Loon *(Ceased as member on 23.06.2014)* *(Independent Non-Executive Director)*	1/1

The Board appointed two (2) Committee Members, namely Mr Kenneth Goh and Mr Iguchi to replace the vacancies left by En Izlan and Mr Cho, following their retirement at the Annual General Meeting ("AGM") held on 23 June 2014. As a result of the changes in the membership, the Committee had not been able to completely carry out its assigned duties during the financial year ended 31 December 2014. Nevertheless, the Committee will endeavour to complete the tasks within the next financial year.

The Board is cognizant of the gender diversity recommendation promoted by the Malaysian Code on Corporate Governance 2012. Currently, there is only one female representation on the Board but the Board is not gender biased. The Board is satisfied with the current mix of skills, experiences, and industry-specific knowledge gained to-date by the respective Directors. Nevertheless, the Board will be mindful of the gender diversity guideline when considering future changes to the Board's composition.

TERMS OF REFERENCE

COMPOSITION

The Committee and its Chairman shall be appointed by the Board from amongst its number and shall comprise not less than two (2) members, consisting exclusively of non-executive directors, a majority of whom are independent.

ATTENDANCE OF MEETINGS

(a) A quorum shall consist of two of the members. In the absence of the Chairman, the members present shall elect a Chairman for the meeting from amongst the members present.

(b) The Committee Members may participate in a meeting by means of conference telephone, conference videophone or any similar or other communications equipment by means of which all persons participating in the meeting can hear each other. Such participation in a meeting shall constitute his/her presence in person at such meeting. Minutes of such a meeting signed by the Chairman of the Committee shall be conclusive evidence of any resolution of any meeting conducted in the manner as aforesaid.

(c) The Company Secretary shall be the Secretary of the Committee or in his/her absence, another person authorised by the Chairman of the Committee.

FREQUENCY OF MEETINGS

(a) Meetings shall be held at least once a year, or more frequently if circumstances require the Committee to do so.

AUTHORITY

(a) The Committee has full access to any information pertaining to the Company and Group and unrestricted access to the officers and employees of the Company and Group.

(b) The Committee may with the approval of the Board, obtain independent professional or other advice in the performance of its duties.

DUTIES AND RESPONSIBILITIES

The Committee shall have the following duties and responsibilities, in addition to any others that may be assigned by the Board from time to time:

(a) Review the required mix of skills, experience and other qualities, including core competencies which Directors should bring to the Board;

(b) Recommend to the Board, candidates for all directorship to be filled;

(c) Recommend to the Board, the candidates to fill the seats on Board Committees;

(d) Assess the effectiveness of the Board as a whole, the Committees of the Board, and the contributions of each individual Director; and

(e) Review the size of the Board with a view to determining the impact of the number upon its effectiveness.

The Committee's focus is on strengthening, balancing and understanding the range of skills, experience and diversity of the Board and key roles below Board level. The Nomination Committee is responsible for making recommendations to the Board on the composition of the Board and its Committees, on retirements, appointments of additional and replacement directors and on succession planning.

MAIN ACTIVITIES

For the financial year ended 31 December 2014, the Committee had reviewed the Self-Assessment Forms completed by the Directors and deliberated on the re-election of Directors due for retirement at the AGM and recommended the retiring Directors for re-election at the AGM. The Committee had also used the Self-Assessment Forms as a guide to evaluate and review the composition and effectiveness of the Independent Directors, Executive Directors and Board Committee Members and had recommended that no changes be made to the composition of the Committee members in the respective Board Committees.

BOARD NOMINATION AND ELECTION PROCESS

The key steps of the process are as follows:

- The Committee considers the knowledge and experience required for the role, taking into account the strategy of the Group and its businesses, and prepares a description of the role and the capabilities and experience required.

- The Committee recommends the shortlisted candidate for the Board's approval.

ADDITIONAL COMPLIANCE INFORMATION

SHARE BUY-BACK AND RESALE

During the financial year ended 31 December 2014, the Company purchased a total of 3,863,300 ordinary shares of RM0.10 each of the issued share capital from the open market at an average price of RM0.835 per share. The total consideration for the share buy-back was RM3,226,684 and was financed by internally generated funds. The Company also resold a total of 5,000 ordinary shares of RM0.10 each of the treasury shares to the open market at an average price of RM0.515 per share. All the shares purchased, less the 5,000 ordinary shares resold, during the financial year ended 31 December 2014 had been retained as treasury shares, and the total number of shares retained as treasury shares as at 31 December 2014 was 7,380,500 ordinary shares of RM0.10 each.

Information on the shares purchased/sold by the Company during the financial year ended 31 December 2014 are as follows:

Monthly Breakdown	No. of shares purchased/(resold)	Purchase/(Resale) Price Per Share (RM)		Average Cost/ (Resale) Price Per Share (RM)	Total Consideration (RM)
		Lowest	Highest		
January 2014	167,400	0.480	0.570	0.514	86,063
January 2014	(5,000)	(0.515)	(0.515)	(0.515)	(2,575)
February 2014	54,600	0.535	0.760	0.656	35,828
July 2014	248,500	0.965	1.000	0.982	243,958
August 2014	500,000	0.910	0.965	0.934	466,925
September 2014	30,000	0.880	0.880	0.880	26,400
October 2014	613,400	0.750	0.840	0.781	478,764
November 2014	892,300	0.835	0.864	0.850	759,326
December 2014	1,357,100	0.730	0.880	0.824	1,118,650

There were no shares cancelled during the financial year ended 31 December 2014.

OPTIONS, WARRANTS AND CONVERTIBLE SECURITIES

During the financial year, a total of 13,000,665 Warrants were exercised. As at 31 December 2014, there were a total of 83,887,435 unexercised Warrants.

The status of utilisation of the gross proceeds raised from the Rights Issue of Warrants of RM1.998 million as at 31 December 2014 is as follows:

Purpose	Proposed to be utilised RM'000	Actual utilisation as at 31 December 2014 RM'000	Intended timeframe for utilisation from date of listing of the Warrants	Unutilised RM'000
Working capital	1,548	1,548	Within two (2) years	-
Estimated expenses for the Rights Issue of Warrants	450	450	Within one (1) month	-
	1,998	1,998		-

Other than the above, there are no other options, warrants or convertible securities issued by the Company during the financial year in review.

AMERICAN DEPOSITORY RECEIPT ("ADR") OR GLOBAL DEPOSITORY RECEIPT ("GDR")

During the financial year in review, the Company did not sponsor any ADR or GDR programme.

SANCTIONS OR PENALTIES

There were no sanctions or penalties imposed on the Group, directors or management by the relevant regulatory bodies during the financial year in review.

NON-AUDIT FEES

There is a special audit fees of RM20,000 paid to the external auditors by the Group during the financial year in review.

VARIATION IN RESULTS

There was no significant variation between the financial results in the Annual Audited Financial Statements 2014 and the unaudited financial results for the year ended 31 December 2014 announced by the Company on 27 February 2014.

PROFIT ESTIMATES, FORECAST OR PROJECTION

The Company did not issue any profit estimates, forecast or projection for the financial year in review.

PROFIT GUARANTEE

The Company did not issue any profit guarantee during the financial year in review.

MATERIAL CONTRACT INVOLVING DIRECTORS AND SUBSTANTIAL SHAREHOLDERS

There were no material contracts involving directors and substantial shareholders during the financial year in review except for a Service Agreement dated 29 September 2004 entered into with Mr Tiang Boon Hwa ("TBH") for the appointment of TBH to act as Managing Director or in such other capacity as the Company may designate at a salary of RM18,000 per month for a term commencing 1 October 2004 and subject to termination by either party giving 6 months notice in writing ("Term"). The Company shall have the discretion to terminate TBH's employment lawfully (without notice or on notice less than that required under the Term above), by paying to TBH a sum equal to RM2,000,000 in addition to his salary and value of contractual benefits due to him in respect of that part of the period of the Term, which the Company has not given to TBH or the unexpired part of such fixed term.

REVALUATION POLICY

The Company did not revalue any of its property, plant and equipment during the financial year in review.

CORPORATE SOCIAL RESPONSIBILITY ("CSR")

The Group understands the importance of its stakeholders, i.e. shareholders, employees, customers, suppliers, and local communities, in the successfulness of Company business. Pursuant to that, the Company will be constantly trying to balance the return of each of its stakeholders group. Above and beyond a continuous effort to maximize the wealth of its ordinary shareholders, the following actions have been conducted in Year 2014 to look into the needs of the broader stakeholder group and to take on a wider social responsibility:

Type of stakeholder	Action
Employees	Constant review on staff benefit and allowance and disseminate the decision via issuance of circulars, directives, rules & regulations or other instructions as a form of communication from management to employees. All confirmed employees are covered by Personal Accident Insurance, Group Hospitalisation Insurance and other medical benefits. Organisation of company trip, gatherings, sports activities and annual dinner for closer bonding among the Group's employees.
Customers	Continuous R&D efforts to improve quality of products. Involving customers in the Company's events to establish good relationship.

Type of stakeholder	Action
Suppliers	Close review on the Company's working capital management to maintain liquidity level required to repay its creditors on time. Involving suppliers in the Company's events to establish good relationship.
Environment and Community	N2N conducted blood donation campaigns twice in 2014 as part of our Corporate Social Responsibility (CSR) initiatives. This has been our fifth consecutive year organising blood donation as we view this as an integral part in our Company's mission to benefit the society. The campaigns, which were held in May and November respectively at our office, attracted many donors and generated overwhelming response. This simple action is also aimed at creating public awareness at Bangsar South area to reach out to the needy and create a better community. Apart from blood donation, N2N also collaborated with Lovely Disabled Home (the Home) on a Recycle Project which has been on-going since March 2014. This initiative is aimed to support Lovely Disabled Home, a non-profitable and non-Governmental Organisation (NGO) by providing a platform for its disabled occupants to work and interact. Our N2N staff will volunteer to collect newspaper and other recyclable items from the tenants around our office at Bangsar South on the last Friday of every month. The items will then be sent to the Home, which will be sorted and sold to cover the Home's day to day operation costs. N2N continues to support Lovely Disabled Home by contributing RM2,000 to a charity dinner held on 28 December 2014 to raise fund for the Home's expansion project to provide a more conducive environment and better facilities for its disabled occupants.

FINANCIAL STATEMENTS

DIRECTORS' REPORT

The Directors are pleased to present their report together with the audited financial statements of the Group and of the Company for the financial year ended 31 December 2014.

PRINCIPAL ACTIVITIES

The principal activities of the Company are investment holding, carrying on the business as researcher and developer of software packages, provider of design, programming, consultancy services and related activities and management of investment properties.

The principal activities of its subsidiary companies are disclosed in Note 5 to the financial statements.

There have been no significant changes in the nature of these activities during the financial year.

FINANCIAL RESULTS

	Group RM	Company RM
Profit for the financial year attributable to:		
Owner of the Company	7,103,619	5,304,907

DIVIDENDS

Since the end of the previous financial year, the Company paid:

(a) a first interim single tier tax exempt dividend of 1.5 sen per ordinary share of RM0.10 each amounting to RM4,706,241 in respect of the financial year ended 31 December 2014 on 17 April 2014;

(b) a second interim single tier tax exempt dividend of 0.7 sen per ordinary share of RM0.10 each amounting to RM3,046,323 in respect of the financial year ended 31 December 2014 on 10 October 2014.

The directors do not recommend any final dividend for the current financial year ended 31 December 2014.

The financial statements for the current financial year do not reflect any proposed dividend. Such dividend, if approved by the Shareholders, will be accounted for in equity as appropriation of retained earnings in the financial year ending 31 December 2015.

RESERVES AND PROVISIONS

There were no material transfers to or from reserves and provisions during the financial year under review other than those disclosed in the financial statements.

ISSUE OF SHARES AND DEBENTURES

On 2 July 2014, the authorised share capital of the Company was increased from RM50,000,000 comprising of 500,000,000 ordinary shares of RM0.10 each to RM100,000,000 comprising of 1,000,000,000 ordinary shares of RM0.10 each by creation of an additional 500,000,000 new ordinary shares.

During the financial year, the issued and paid-up share capital of the Company was increased from RM30,407,480 to RM43,968,667 by way of the issuance of:

(a) 583,600 new ordinary shares of RM0.10 each for cash pursuant to the Company's Employee Share Option Scheme at weighted exercise price of RM0.22 per ordinary share;

(b) 13,000,665 new ordinary shares of RM0.10 each for cash pursuant to the exercise of Warrants at an exercise price of RM0.32 per ordinary share; and

(c) 122,027,600 new ordinary shares of RM0.10 each for cash pursuant to the private placement at fair value of RM0.89 per ordinary share.

The new ordinary shares issued during the financial year ranked pari passu in all respects with the existing ordinary shares of the Company.

There were no issue of debentures by the Company during the financial year.

WARRANTS

On 9 April 2013, the Company issued 99,923,600 Five (5) years Warrants 2013/2018 ("Warrants") at an issue price of RM0.02 each pursuant to a renounceable rights issue of one warrant for every three existing ordinary shares of RM0.10 each held in the Company. During the financial year, a total of 13,000,665 Warrants were exercised. As at 31 December 2014, there was a total of 83,887,435 unexercised Warrants.

The salient features of the Warrants are disclosed in Note 20(b) to the financial statements.

EMPLOYEE SHARE OPTION SCHEME

The N2N Connect Berhad ("N2N") Employee Share Option Scheme ("ESOS") was approved by shareholders at the General Meetings on 13 October 2005 and 18 October 2005. The ESOS was implemented on 23 November 2005 and has expired on 22 November 2010. Pursuant to the Board's approval on 24 August 2010, the tenure of the ESOS has been extended for a further 5 years, expiring on 22 December 2015.

The salient features and other terms of the ESOS are disclosed in Note 27 to the financial statements.

No other options were granted to any person to take up the unissued shares of the Company during the financial year.

Details of the options granted to Directors are disclosed in the section on Directors' Interests in this report.

REPURCHASE OF SHARES

At the Tenth Annual General Meeting held on 20 June 2011, the shareholders approved the share buy-back of up to 10% or up to 29,893,900 ordinary shares of the issued and paid-up share capital of the Company. The mandate given by the shareholders at the Annual General Meeting ("AGM") held on 23 June 2014 to renew the Company's plan to repurchase its own shares will expire at the forthcoming AGM and an ordinary resolution will be tabled at the forthcoming AGM for shareholders to renew the mandate for another year.

During the duration of share buy-back, the Company had purchased/(resold) the following ordinary shares of its issued and paid-up share capital from/(to) the open market:

In the financial year	No. of ordinary shares	Average price per share RM	Total cost/ (consideration) RM
2011 Purchased	1,774,900	0.24	433,668
2012 Purchased	1,072,700	0.45	482,836
2013 Purchased	3,532,300	0.47	1,661,439
2013 Resold	(2,857,700)	0.47	(1,339,829)
2014 Purchased	3,863,300	0.83	3,226,684
2014 Resold	(5,000)	0.52	(2,354)
	7,380,500		

The repurchase transactions were financed by internally generated funds. The repurchased shares are being held as treasury shares and carried at cost in accordance with the requirements of section 67A of the Companies Act, 1965. The Company has not made any share cancellation of its treasury shares during the financial year.

At 31 December 2014, the total number of treasury shares held by the Company is 7,380,500 ordinary shares.

DIRECTORS

The Directors who served since the date of the last report are as follows:

Chua Tiong Hoong
Lai Su Ping
Tiang Boon Hwa
Datuk Tan Boon Leng
Goh Fuqiang, Kenneth
Cho Wai Loon (Retired on 23 June 2014)
Izlan bin Izhab (Retired on 23 June 2014)
Akio Furuse (Appointed on 7 July 2014)
Tetsuya Iguchi (Appointed on 7 July 2014)
Dato' Chew Kong Seng (Appointed on 19 August 2014)

DIRECTORS' INTERESTS

Details of holdings and deemed interests in the share capital, options and warrants of the Company or its related corporations by the Directors who held office at the end of the financial year, according to the register required to be kept under Section 134 of the Companies Act, 1965, were as follows:

	Number of ordinary shares of RM0.10 each			
	At 1.1.2014	Conversion of Warrants/ Acquired	Disposed	At 31.12.2014
N2N Connect Holdings Sdn. Bhd.				
Direct interest				
Chua Tiong Hoong	20	-	-	20
Lai Su Ping	280	-	-	280
Tiang Boon Hwa	646	-	-	646
N2N Connect Berhad				
Direct interest				
Chua Tiong Hoong	1,129,354	-	-	1,129,354
Lai Su Ping	12,135,844	-	-	12,135,844
Tiang Boon Hwa	10,738,944	-	-	10,738,944
Datuk Tan Boon Leng	1,232,700	-	-	1,232,700
Goh Fuqiang, Kenneth	9,950,000	3,316,666	-	13,266,666
Indirect interest				
Chua Tiong Hoong [1]	14,000	-	-	14,000
Lai Su Ping [2]	146,188,454	-	-	146,188,454
Tiang Boon Hwa [3]	147,585,154	-	-	147,585,154

	Number of warrants 2013/2018			
	At 1.1.2014	Acquired	Converted/ Disposed	At 31.12.2014
N2N Connect Berhad				
Direct interest				
Chua Tiong Hoong	104,000	-	-	104,000
Lai Su Ping	3,372,280	-	-	3,372,280
Tiang Boon Hwa	4,492,089	-	-	4,492,089
Datuk Tan Boon Leng	411,166	-	-	411,166
Goh Fuqiang, Kenneth	3,316,666	-	(3,316,666)	-
Indirect interest				
Chua Tiong Hoong [1]	125,200	-	-	125,200
Lai Su Ping [2]	51,054,558	-	-	51,054,558
Tiang Boon Hwa [3]	49,934,749	-	-	49,934,749

	No. of options over ordinary shares of RM0.10 each (ESOS)			
	At 1.1.2014	Exercised	Lapsed	At 31.12.2014
N2N Connect Berhad				
Chua Tiong Hoong	1,900,000	-	-	1,900,000
Lai Su Ping	1,860,000	-	-	1,860,000
Tiang Boon Hwa	2,180,000	-	-	2,180,000

Notes:

1 *Deemed interest through his spouse's direct interest in the Company pursuant to Section 134(12)(c) of the Companies Act, 1965 in compliance with Companies (Amendment) Act 2007.*

2 *Deemed interest through her spouse's direct interest in the Company pursuant to Section 134(12)(c) of the Companies Act, 1965 in compliance with Companies (Amendment) Act 2007 and her direct interest in the holding company, N2N Connect Holdings Sdn. Bhd. Pursuant to Section 6A of the Companies Act, 1965.*

3 *Deemed interest through his spouse's direct interest in the Company pursuant to Section 134(12)(c) of the Companies Act, 1965 in compliance with Companies (Amendment) Act 2007 and his direct interest in the holding company, N2N Connect Holdings Sdn. Bhd. Pursuant to Section 6A of the Companies Act, 1965.*

By virtue of their interests in the shares of the Company, Lai Su Ping and Tiang Boon Hwa are also deemed to have interests in the shares of all its subsidiary companies to the extent the Company has an interest.

Dato' Chew Kong Seng, Akio Furuse and Tetsuya Iguchi who hold office at the end of the financial year do not have any interest in the ordinary shares and options of the Company or its related corporations during the financial year under review.

DIRECTORS' BENEFITS

Since the end of the previous financial year, no Director of the Company has received or become entitled to receive any benefit (other than a benefit included in the aggregate amount of emoluments received or due and receivable by Directors as shown in the financial statements) by reason of a contract made by the Company or a related corporation with the Director or with a firm of which the Director is a member, or with a company in which the Director has a substantial financial interest.

Neither during nor at the end of the financial year, was the Company or its subsidiary companies a party to any arrangement the object of which is to enable the Directors of the Company to acquire benefits by means of the acquisition of shares in or debentures of the Company or any other body corporate, other than those arising from the share options granted under the N2N Connect Berhad ESOS.

OTHER STATUTORY INFORMATION

(a) Before the statements of profit or loss and other comprehensive income and statements of financial position of the Group and of the Company were made out, the Directors took reasonable steps:

(i) to ascertain that action had been taken in relation to the writing off of bad debts and the making of allowance for doubtful debts and satisfied themselves that no known bad debts had been written off and that adequate allowance had been made for impairment losses on receivables; and

(ii) to ensure that any current assets which were unlikely to realise their value in the ordinary course of business were written down to an amount which they might be expected so to realise.

(b) At the date of this report, the Directors are not aware of any circumstances which would render:

(i) the amount written off for bad debts or the additional allowance for impairment losses on receivables in the financial statements of the Group and of the Company inadequate to any substantial extent;

(ii) the values attributed to the current assets in the financial statements of the Group and of the Company misleading;

(iii) any amount stated in the financial statements of the Group and of the Company misleading; and

(iv) adherence to the existing method of valuation of assets or liabilities of the Group and of the Company misleading or inappropriate.

(c) No contingent or other liabilities of the Group and of the Company have become enforceable, or are likely to become enforceable within the period of twelve months after the end of the financial year which, in the opinion of the Directors, will or may affect the ability of the Group and of the Company to meet their obligations as and when they fall due.

(d) At the date of this report, there does not exist:

(i) any charge on the assets of the Group or of the Company which has arisen since the end of the financial year which secures the liabilities of any other person; and

(ii) any contingent liability in respect of the Group or of the Company which has arisen since the end of the financial year.

HOLDING COMPANY

The Directors regard N2N Connect Holdings Sdn. Bhd., a company incorporated in Malaysia, as the holding company.

SIGNIFICANT EVENT

The significant event is disclosed in Note 34 to the financial statements.

SUBSEQUENT EVENTS

The subsequent events are disclosed in Note 35 to the financial statements.

AUDITORS

The auditors, Morison Anuarul Azizan Chew, have expressed their willingness to accept re-appointment.

Signed on behalf of the Board of Directors in accordance with a resolution of the Directors.

CHUA TIONG HOONG **TIANG BOON HWA**

KUALA LUMPUR

8 April 2015

STATEMENT BY DIRECTORS

PURSUANT TO SECTION 169(15) OF THE COMPANIES ACT, 1965

We, CHUA TIONG HOONG and TIANG BOON HWA, being two of the Directors of N2N CONNECT BERHAD, do hereby state that, in the opinion of the Directors, the financial statements set out on pages 53 to 115 are drawn up in accordance with Malaysian Financial Reporting Standards, International Financial Reporting Standards and the provisions of the Companies Act, 1965 in Malaysia so as to give true and fair view of the financial position of the Group and of the Company as at 31 December 2014 and of their financial performance and cash flows for the financial year ended.

The supplementary information set out in page 116 to the financial statements have been prepared in accordance with the Guidance on Special Matter No. 1, Determination of Realised and Unrealised Profits or Losses in the Context of Disclosure Pursuant to Bursa Malaysia Securities Berhad Listing Requirements, as issued by the Malaysian Institute of Accountants.

Signed on behalf of the Board of Directors in accordance with a resolution of the Directors.

CHUA TIONG HOONG **TIANG BOON HWA**

KUALA LUMPUR

8 April 2015

STATUTORY DECLARATION

PURSUANT TO SECTION 169(16) OF THE COMPANIES ACT, 1965

I, TIANG BOON HWA, being the Director primarily responsible for the financial management of N2N CONNECT BERHAD, do solemnly and sincerely declare that the financial statements and supplementary information set out on pages 53 to 115 and page 116 respectively are to the best of my knowledge and belief, correct and I make this solemn declaration conscientiously believing the same to be true and by virtue of the provisions of the Statutory Declarations Act, 1960.

Subscribed and solemnly declared by the)
abovenamed TIANG BOON HWA at on this date of)
8 April 2015)
)

TIANG BOON HWA

Before me,

COMMISSIONER FOR OATHS

INDEPENDENT AUDITORS' REPORT

TO THE MEMBERS OF N2N CONNECT BERHAD

(Company No.: 523137-K) (Incorporated in Malaysia)

REPORT ON THE FINANCIAL STATEMENTS

We have audited the financial statements of N2N Connect Berhad, which comprise the statements of financial position as at 31 December 2014 of the Group and of the Company, and the statements of profit or loss and other comprehensive income, statements of changes in equity and statements of cash flows of the Group and of the Company for the financial year then ended, and a summary of significant accounting policies and other explanatory information, as set out on pages 53 to 115.

Directors' Responsibility for the Financial Statements

The Directors of the Company are responsible for the preparation of financial statements so as to give a true and fair view in accordance with the Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act, 1965 in Malaysia. The Directors are also responsible for such internal controls as the Directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with approved standards on auditing in Malaysia. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgement, including the assessment of risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we consider internal controls relevant to the Company's preparation of financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal controls. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the Directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements give a true and fair view of the financial position of the Group and of the Company as of 31 December 2014 and of their financial performance and cash flows for the financial year then ended in accordance with the Malaysian Financial Reporting Standards, International Financial Reporting Standards and the requirements of the Companies Act, 1965 in Malaysia.

REPORT ON OTHER LEGAL AND REGULATORY REQUIREMENTS

In accordance with the requirements of the Companies Act, 1965 in Malaysia, we also report the following:

(a) In our opinion, the accounting and other records and the registers required by the Companies Act, 1965 in Malaysia to be kept by the Company and its subsidiaries of which we have acted as auditors have been properly kept in accordance with the provisions of the Companies Act, 1965 in Malaysia.

(b) We have considered the financial statements and the auditors' report of the subsidiary companies of which we have not acted as auditors, which are indicated in Note 5 to the financial statements.

(c) We are satisfied that the financial statements of the subsidiaries that have been consolidated with the Company's financial statements are in form and content appropriate and proper for the purposes of the preparation of the financial statements of the Group and we have received satisfactory information and explanations required by us for those purposes.

(d) The auditors' reports on the financial statements of the subsidiaries did not contain any qualification or any adverse comment made under Section 174(3) of the Companies Act, 1965 in Malaysia.

OTHER REPORTING RESPONSIBILITIES

The supplementary information set out in page 116 is disclosed to meet the requirement of Bursa Malaysia Securities Berhad and is not part of the financial statements. The Directors are responsible for the preparation of the supplementary information in accordance with Guidance on Special Matter No.1, Determination of Realised and Unrealised Profits or Losses in the Context of Disclosure Pursuant to Bursa Malaysia Securities Berhad Listing Requirements, as issued by the Malaysian Institute of Accountants ("MIA Guidance") and the directive of Bursa Malaysia Securities Berhad. In our opinion, the supplementary information is prepared, in all material respects, in accordance with the MIA Guidance and the directive of Bursa Malaysia Securities Berhad.

OTHER MATTERS

This report is made solely to the members of the Company, as a body, in accordance with Section 174 of the Companies Act, 1965 in Malaysia and for no other purpose. We do not assume responsibility to any other person for the contents of this report.

MORISON ANUARUL AZIZAN CHEW
Firm Number: AF 001977
Chartered Accountants

TAN POH LING
Approved Number: 2564/03/17 (J)
Chartered Accountant

KUALA LUMPUR

8 April 2015

STATEMENTS OF FINANCIAL POSITION

AS AT 31 DECEMBER 2014

		Group		Company	
		2014	2013	2014	2013
	Note	RM	RM	RM	RM
Non-Current Assets					
Property, plant and equipment	3	32,712,960	32,520,139	25,335,468	24,881,216
Investment properties	4	13,307,030	13,587,066	13,307,030	13,587,066
Investment in subsidiary companies	5	-	-	2,095,000	2,095,000
Intangible assets	6	12,212,337	11,031,777	11,003,291	9,917,018
		58,232,327	57,138,982	51,740,789	50,480,300
Current Assets					
Trade receivables	7	9,784,923	8,401,503	393,466	562,673
Other receivables	8	2,296,600	867,853	462,627	504,740
Amount owing by holding company	9	-	224,367	-	43,875
Amount owing by subsidiary companies	10	-	-	21,755,728	20,518,644
Amount owing by a related company	11	16,434	310,087	8,570	-
Tax recoverable		136,124	-	136,124	-
Marketable securities	12	86,537,742	57,775	86,537,742	57,775
Deposits with licensed banks	13	6,286,945	35,959	6,286,945	35,959
Cash and bank balances		4,505,764	3,926,546	1,000,933	754,697
		109,564,532	13,824,090	116,582,135	22,478,363
Current Liabilities					
Trade payables	14	1,537,984	795,021	364,724	123,995
Other payables	15	2,744,710	2,528,502	879,819	986,290
Amount owing to subsidiary company	10	-	-	1,215,475	-
Amount owing to a related company	11	-	10,650	-	10,651
Amount owing to directors	16	39,078	145,442	39,078	145,442
Bank borrowings	17	728,107	3,762,821	704,400	3,762,821
Tax payable		-	1,442	-	1,442
		5,049,879	7,243,878	3,203,496	5,030,641
Net current assets		104,514,653	6,580,212	113,378,639	17,447,722
		162,746,980	63,719,194	165,119,428	67,928,022

		Group		Company	
		2014	2013	2014	2013
	Note	RM	RM	RM	RM
Financed By:					
Share capital	18	43,968,667	30,407,480	43,968,667	30,407,480
Share premium		106,225,342	6,634,477	106,225,342	6,634,477
Treasury shares	19	(4,881,241)	(1,656,911)	(4,881,241)	(1,656,911)
Reserves	20	1,986,824	2,184,540	1,677,749	1,937,762
Retained profits		10,883,532	11,594,774	13,846,441	16,294,098
Equity attributable to owners of the Company		158,183,124	49,164,360	160,836,958	53,616,906
Non-Current Liabilities					
Bank borrowings	17	4,320,138	14,311,116	4,282,470	14,311,116
Deferred tax liabilities	21	243,718	243,718	-	-
		4,563,856	14,554,834	4,282,470	14,311,116
		162,746,980	63,719,194	165,119,428	67,928,022

The accompanying notes form an integral part of the financial statements.

STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2014

		Group		Company	
		2014	2013	2014	2013
	Note	RM	RM	RM	RM
Revenue	22	34,239,312	31,326,888	13,081,058	17,074,030
Cost of sales		(14,381,850)	(12,103,289)	(3,717,218)	(3,060,407)
Gross profit		19,857,462	19,223,599	9,363,840	14,013,623
Other operating income		2,719,043	1,298,333	3,738,199	1,952,331
Administration expenses		(14,487,787)	(12,895,438)	(6,811,467)	(6,710,488)
Finance costs		(997,405)	(1,446,656)	(995,810)	(1,446,656)
Profit before taxation	23	7,091,313	6,179,838	5,294,762	7,808,810
Taxation	24	(49,991)	(136,542)	10,145	(136,542)
Profit for the financial year		7,041,322	6,043,296	5,304,907	7,672,268
Other comprehensive income:					
Items that may be reclassified subsequently to profit or loss					
- Exchange differences arising from translation of foreign operations		62,297	115,172	-	-
Total comprehensive income for the financial year attributable to owner of the Company		7,103,619	6,158,468	5,304,907	7,672,268
Earnings per share attributable to owner of the Company (sen)					
Basic	25(a)	1.90	2.02		
Fully diluted	25(b)	1.59	1.83		

The accompanying notes form an integral part of the financial statements.

STATEMENTS OF CHANGES IN EQUITY

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2014

		Attributable to Equity Holders of the Company						
			Non-distributable				Distributable	
Group	**Note**	**Share Capital RM**	**Share Premium RM**	**Treasury Shares RM**	**Exchange Reserve RM**	**Warrants Reserve RM**	**Retained Profits RM**	**Total RM**
At 1 January 2014		30,407,480	6,634,477	(1,656,911)	246,778	1,937,762	11,594,774	49,164,360
Issue of shares pursuant to:								
- ESOS		58,360	68,902	-	-	-	-	127,262
- Exercise of Warrants		1,300,067	3,120,159	-	-	(260,013)	-	4,160,213
- Private placement		12,202,760	96,401,804	-	-	-	-	108,604,564
Resale of treasury shares	19	-	-	2,354	-	-	-	2,354
Shares purchased during the year held as treasury shares	19	-	-	(3,226,684)	-	-	-	(3,226,684)
Dividend paid	26	-	-	-	-	-	(7,752,564)	(7,752,564)
Net profit for the financial year		-	-	-	-	-	7,041,322	7,041,322
Other comprehensive income		-	-	-	62,297	-	-	62,297
Total comprehensive income for the financial year		-	-	-	62,297	-	7,041,322	7,103,619
At 31 December 2014		43,968,667	106,225,342	(4,881,241)	309,075	1,677,749	10,883,532	158,183,124

		Attributable to Equity Holders of the Company						
			Non-distributable				Distributable	
Group	**Note**	**Share Capital RM**	**Share Premium RM**	**Treasury Shares RM**	**Exchange Reserve RM**	**Warrants Reserve RM**	**Retained Profits RM**	**Total RM**
At 1 January 2013		29,973,780	5,332,850	(916,504)	131,606	-	5,551,478	40,073,210
Issue of Warrants		-	-	-	-	1,998,472	-	1,998,472
Issue of shares pursuant to:								
- ESOS		130,150	154,310	-	-	-	-	284,460
- Exercise of Warrants		303,550	728,520	-	-	(60,710)	-	971,360
Resale of treasury shares	19	-	418,797	921,032	-	-	-	1,339,829
Shares purchased during the year held as treasury shares	19	-	-	(1,661,439)	-	-	-	(1,661,439)
Net profit for the financial year		-	-	-	-	-	6,043,296	6,043,296
Other comprehensive income		-	-	-	115,172	-	-	115,172
Total comprehensive income for the financial year		-	-	-	115,172	-	6,043,296	6,158,468
At 31 December 2013		30,407,480	6,634,477	(1,656,911)	246,778	1,937,762	11,594,774	49,164,360

			Non-distributable			Distributable	
Company		**Share Capital**	**Share Premium**	**Treasury Shares**	**Warrants Reserve**	**Retained Profits**	**Total**
	Note	**RM**	**RM**	**RM**	**RM**	**RM**	**RM**
At 1 January 2014		30,407,480	6,634,477	(1,656,911)	1,937,762	16,294,098	53,616,906
Issue of Warrants							
Issue of shares pursuant to:							
- ESOS		58,360	68,902	-	-	-	127,262
- Exercise of Warrants		1,300,067	3,120,159	-	(260,013)	-	4,160,213
- Private placement		12,202,760	96,401,804	-	-	-	108,604,564
Resale of treasury shares	19	-	-	2,354	-	-	2,354
Shares purchased during the year held as treasury shares	19	-	-	(3,226,684)	-	-	(3,226,684)
Dividend paid		-	-	-	-	(7,752,564)	(7,752,564)
Total comprehensive income for the financial year		-	-	-	-	5,304,907	5,304,907
At 31 December 2014		43,968,667	106,225,342	(4,881,241)	1,677,749	13,846,441	160,836,958

			Non-distributable			Distributable	
Company	**Note**	**Share Capital RM**	**Share Premium RM**	**Treasury Shares RM**	**Warrants Reserve RM**	**Retained Profits RM**	**Total RM**
At 1 January 2013		29,973,780	5,332,850	(916,504)	-	8,621,830	43,011,956
Issue of Warrants		-	-	-	1,998,472	-	1,998,472
Issue of shares pursuant to:							
- ESOS		130,150	154,310	-	-	-	284,460
- Exercise of Warrants		303,550	728,520	-	(60,710)	-	971,360
Resale of treasury shares	19	-	418,797	921,032	-	-	1,339,829
Shares purchased during the year held as treasury shares	19	-	-	(1,661,439)	-	-	(1,661,439)
Total comprehensive income for the financial year		-	-	-	-	7,672,268	7,672,268
At 31 December 2013		30,407,480	6,634,477	(1,656,911)	1,937,762	16,294,098	53,616,906

The accompanying notes form an integral part of the financial statements.

CONSOLIDATED STATEMENT OF CASH FLOWS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2014

	2014 RM	Restated 2013 RM
Cash Flows From Operating Activities		
Profit before taxation	7,091,313	6,179,838
Adjustments for:		
Allowance for impairment loss on other receivables	222,150	-
Amortisation of intangible asset	2,173,540	1,930,294
Depreciation of property, plant and equipment	3,510,659	3,579,410
Depreciation of investment properties	280,036	280,038
Property, plant and equipment written-off	-	191,745
Bad debts written off	-	25,725
Unrealised foreign exchange gain	-	(81,605)
Gain on disposal of property, plant and equipment	-	(9,600)
Interest expenses	995,810	1,446,656
Dividend income	(1,445,782)	-
Interest income	(75,954)	(18,891)
Operating profit before working capital changes	12,751,772	13,523,610
(Increase)/Decrease in working capital		
Trade receivables	(1,383,420)	(952,600)
Other receivables	(1,650,897)	(148,324)
Trade payables	742,963	(550,783)
Other payables	216,208	61,319
Amount owing to directors	(106,364)	66,883
Amount owing by related company	283,003	(86,847)
Amount owing by holding company	224,367	(179,563)
	(1,674,140)	(1,789,915)
Cash generated from operations	11,077,632	11,733,695
Dividend received	1,445,782	-
Interest paid	(995,810)	(1,446,656)
Interest received	75,954	18,891
Tax paid	(187,557)	(136,542)
	338,369	(1,564,307)
Net cash from operating activities	11,416,001	10,169,388

	2014 RM	Restated 2013 RM
Cash Flows From Investing Activities		
Computer software development cost	(3,354,100)	(2,936,836)
Purchase of property, plant and equipment	(3,684,224)	(4,419,368)
Proceeds from disposal of property, plant and equipment	-	9,600
Net changes in marketable securities	(86,479,967)	(1,529)
Net cash used in investing activities	(93,518,291)	(7,348,133)
Cash Flows From Financing Activities		
Dividend paid	(7,752,564)	-
Drawdown from finance lease	72,800	-
Proceeds from issue of shares	112,892,039	1,255,820
Proceeds from issue of warrants	-	1,998,472
Proceeds from resale of treasury shares	2,354	1,339,829
Repayment of bank borrowings	(11,368,690)	(2,044,440)
Repayment of finance lease	(11,425)	-
Share buy back	(3,226,684)	(1,661,439)
Net cash from financing activities	90,607,830	888,242
Net increase in cash and cash equivalents	8,505,540	3,709,497
Effect of exchange rate changes	43,041	42,317
Cash and cash equivalents at beginning of the financial year	2,244,128	(1,507,686)
Cash and cash equivalents at end of the financial year	10,792,709	2,244,128
Cash and cash equivalents at end of the financial year comprises:		
Deposits with licensed banks	6,286,945	35,959
Cash and bank balances	4,505,764	3,926,546
Bank overdraft	-	(1,718,377)
	10,792,709	2,244,128

STATEMENT OF CASH FLOWS

FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2014

	2014 RM	Restated 2013 RM
Cash Flows From Operating Activities		
Profit before taxation	5,294,762	7,808,810
Adjustments for:		
Allowance of impairment loss on other receivables	222,150	-
Amortisation of intangible asset	1,837,137	1,688,893
Depreciation of property, plant and equipment	924,452	1,468,432
Depreciation of investment properties	280,036	280,038
Property, plant and equipment written-off	-	191,745
Gain on disposal of property, plant and equipment	-	(9,600)
Bad debts written off	-	25,725
Interest expenses	995,810	1,446,656
Dividend income	(1,445,782)	-
Interest income	(63,596)	(5,420)
Unrealised foreign exchange gain	-	(164,285)
Operating profit before working capital changes	8,044,969	12,730,994
(Increase)/Decrease in working capital		
Trade receivables	169,207	277,396
Other receivables	(180,037)	(47,074)
Trade payables	240,729	(135,720)
Other payables	(106,471)	193,989
Amount owing to directors	(106,364)	66,883
Amount owing by subsidiary companies	(21,609)	(7,125,513)
Amount owing by related company	(19,221)	10,651
Amount owing by holding company	43,875	(3,379)
	20,109	(6,762,767)
Cash generated from operations	8,065,078	5,968,227
Dividend received	1,445,782	-
Interest paid	(995,810)	(1,446,656)
Interest received	63,596	5,420
Tax paid	(127,421)	(136,542)
	386,147	(1,577,778)
Net cash from operating activities	8,451,225	4,390,449

	2014 RM	Restated 2013 RM
Cash Flows From Investing Activities		
Computer software development cost	(2,923,410)	(2,347,871)
Purchase of property, plant and equipment	(1,378,704)	(454,303)
Proceeds from disposal of property, plant and equipment	-	9,600
Net changes in marketable securities	(86,479,967)	(1,529)
Net cash used in investing activities	(90,782,081)	(2,794,103)
Cash Flows From Financing Activities		
Dividend paid	(7,752,564)	-
Proceeds from issue of shares	112,892,039	1,255,820
Proceeds from issue of warrants	-	1,998,472
Proceeds from resale of treasury shares	2,354	1,339,829
Repayment of term loan	(11,368,690)	(2,044,440)
Share buy back	(3,226,684)	(1,661,439)
Net cash from financing activities	90,546,455	888,242
Net increase in cash and cash equivalents	8,215,599	2,484,588
Cash and cash equivalents at beginning of the financial year	(927,721)	(3,412,309)
Cash and cash equivalents at end of the financial year	7,287,878	(927,721)
Cash and cash equivalents at end of the financial year comprises:		
Deposits with licensed bank	6,286,945	35,959
Cash and bank balances	1,000,933	754,697
Bank overdraft	-	(1,718,377)
	7,287,878	(927,721)

The accompanying notes form an integral part of the financial statements.

NOTES TO THE FINANCIAL STATEMENTS

1. CORPORATE INFORMATION

The principal activities of the Company are investment holding, carrying on the business as researcher and developer of software packages, provider of design, programming, consultancy services and related activities and management of investment properties.

The principal activities of the subsidiary companies are disclosed in Note 5 to the financial statements.

There have been no significant changes in the nature of these activities during the financial year.

The Company is a public limited liability company, incorporated under the Companies Act, 1965 and domiciled in Malaysia, and is listed on the Access, Certainty and Efficiency ("ACE") Market of Bursa Malaysia Securities Berhad.

The registered office of the Company is located at 3rd Floor, No. 17, Jalan Ipoh Kecil, 50350 Kuala Lumpur.

The principal place of business of the Company is located at Wisma N2N, Level 9, Tower 2, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur.

2. BASIS OF PREPARATION AND SIGNIFICANT ACCOUNTING POLICIES

2.1. Basis of preparation

The financial statements of the Group and of the Company have been prepared in accordance with the provisions of the Malaysian Financial Reporting Standards ("MFRS"), International Financial Reporting Standards and the requirements of the Companies Act, 1965 in Malaysia.

The financial statements have been prepared under the historical cost convention except as disclosed in summary of significant accounting policies.

The preparation of financial statements in conformity with MFRS requires the use of certain critical accounting estimates and assumptions that affect the reported amount of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements, and the reported amount of revenues and expenses during the reported period. It also requires Directors to exercise their judgment in the process of applying the Group and Company's accounting policies. Although these estimates and judgment are based on the Directors' best knowledge of current events and actions, actual results may differ. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in Note 2.3.

Amendments to accounting standards and interpretations that are effective for the Group and the Company's financial year beginning on or after 1 January 2014 are as follows:

- Amendments to MFRS 10, MFRS 12 and MFRS 127, "Investment Entities"
- Amendments to MFRS 132, "Financial Instruments: Presentation"
- Amendments to MFRS 136, "Impairment of Assets"
- Amendments to MFRS 139, "Novation of Derivatives and Continuation of Hedge Accounting"
- IC Interpretation 21, "Levies"

The above amendments to accounting standards and interpretations effective during the financial year do not have any significant impact to the financial results and position of the Group and the Company.

As at the date of authorisation of the financial statements, the following accounting standards, amendments to accounting standards and interpretations that have been issued but not yet effective and not yet adopted by the Group and the Company:

Annual periods beginning on/after 1 July 2014

- Amendment to MFRS 1, First-time Adoption of Malaysian Financial Reporting Standards
- Amendment to MFRS 2, Share-based payment
- Amendment to MFRS 3, Business combination
- Amendment to MFRS 8, Operating segments
- Amendment to MFRS 13, Fair value measurement
- Amendment to MFRS 116, Property, plant and equipment and MFRS 138 Intangible Assets
- Amendments to MFRS 119, Employee Benefits
- Amendment to MFRS 124, Related Party Disclosures
- Amendment to MFRS 140, Investment Property

Annual periods beginning on/after 1 January 2016

- Amendments to MFRS 5, Non-Current Assets Held for Sale and Discontinued Operations
- Amendments to MFRS 7, Financial Instruments: Disclosures
- Amendments to MFRS 10, Consolidated Financial Statements and MFRS 128 Investments in Associates and Joint Ventures
- Amendments to MFRS 11, Joint Arrangements
- Amendments to MFRS 101, Presentation of Financial Statements
- Amendments to MFRS 116, Property, plant and equipment
- Amendments to MFRS 119, Employee Benefits
- Amendments to MFRS 127, Separate Financial Statements
- Amendments to MFRS 134, Interim Financial Reporting
- Amendments to MFRS 138, Intangible assets

Annual periods beginning on/after 1 January 2017

MFRS 15 Revenue from Contracts with Customers

The Standard provides clarity on revenue recognition especially on areas where existing requirements unintentionally created diversity in practice. Under MFRS 15, an entity recognises revenue to depict the transfer of promised goods or services to customers in an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services.

Extensive disclosures are required to provide greater insight into both revenue that has been recognised, and revenue that is expected to be recognised in the future from existing contracts.

Annual periods beginning on/after 1 January 2018

MFRS 9 Financial Instruments

This Standard addresses the classification, measurement and recognition of financial assets and financial liabilities.

Classification determines how financial assets and financial liabilities are accounted for in financial statements and, in particular, how they are measured on an ongoing basis. The Standard introduces an approach for classification of financial assets which is driven by cash flow characteristics and the business model in which an asset is held. The new model also results in a single impairment model being applied to all financial instruments, thereby removing a source of complexity associated with previous accounting requirements. If a financial asset is a simple debt instrument and the objective of the entity's business model within which it is held is to collect its contractual cash flows, the financial asset is measured at amortised cost. In contrast, if that asset is held in a business model the objective of which is achieved by both collecting contractual cash flows and selling financial assets, then the financial asset is measured at fair value in the balance sheet, and amortised cost information is provided through profit or loss. If the business model is neither of these, then fair value information is increasingly important, so it is provided both in the profit or loss and in the balance sheet.

The Standard introduces a new, expected-loss impairment model that will require more timely recognition of expected credit losses. Specifically, it requires entities to account for expected credit losses from when financial instruments are first recognised and to recognise full lifetime expected losses on a more timely basis. The model requires an entity to recognise expected credit losses at all times and to update the amount of expected credit losses recognised at each reporting date to reflect changes in the credit risk of financial instruments. This model is forward-looking and it eliminates the threshold for the recognition of expected credit losses, so that it is no longer necessary for a trigger event to have occurred before credit losses are recognised.

In addition, the Standard introduces a substantially-reformed model for hedge accounting, with enhanced disclosures about risk management activity. The new model represents a significant overhaul of hedge accounting that aligns the accounting treatment with risk management activities, enabling entities to better reflect these activities in their financial statements. As a result of these changes, users of the financial statements will be provided with better information about risk management and the effect of hedge accounting on the financial statements.

The Group and the Company is in the process of assessing the impact of MFRS 9 and MFRS 15 in the year of initial application. Aside from the above mentioned, the adoption of the accounting standards and amendments to accounting standards are not expected to have any significant impact to the financial statements of the Group and the Company.

Accounting standards and amendments not relevant and not yet effective

Accounting standards and amendments to accounting standards that are not relevant and not yet effective for the Group and the Company are as follows:

- Amendments to MFRS 10, MFRS 12 and MFRS 128, "Investment Entities: Applying the Consolidation Exception"
- Amendments to MFRS 14, "Regulatory Deferral Accounts"
- Amendments to MFRS 116 and MFRS 141, "Agriculture: Bearer Plants"

The Group and the Company plan to apply the abovementioned accounting standards, amendments to accounting standards and interpretations, where applicable. The initial application of the above accounting standards, amendments to accounting standards and interpretations are not expected to have any material financial impacts to the current and prior period's financial statement upon their first adoption.

2.2. Basis of consolidation

The consolidated financial statements include the financial statements of the Company and its subsidiary companies made up to the end of the financial year. Investments in subsidiary companies are stated at cost less impairment losses. The policy of the recognition and measurement of impairment losses is in accordance with Note 2.4(h).

(i) Subsidiary companies

Subsidiary companies are entities (including special purpose entities) over which the Group has power to govern the financial and operating policies, generally accompanying a shareholding of more than one half of the voting rights. The existence and effect of potential voting rights that are currently exercisable or convertible are considered when assessing whether the Group controls another entity.

The acquisition method of accounting is used to account for the acquisition of subsidiary companies. The cost of an acquisition is measured as the fair value of the assets given, equity instruments issued or liabilities incurred or assumed at the date of exchange. Identifiable assets acquired and liabilities and contingent liabilities assumed attributable to the acquirer in a business combination are measured initially at their fair values on the date of acquisition.

Acquisition related costs incurred are expensed and included in the administration expenses. The difference between the acquisition cost and the fair values of the subsidiary companies' net assets is reflected as goodwill or reserve on consolidation as appropriate.

Subsidiary companies are consolidated from the date on which control is transferred to the Group to the date on which that control ceases.

If the business combination is achieved in stages, the Group's previously held equity interest in the acquiree is remeasured to fair value at the acquisition date and the resulting gain or loss, if any, is recognised in profit or loss.

Any contingent consideration to be transferred by the Group will be recognised at fair value at the acquisition date. Subsequent changes in the fair value of the contingent consideration which is deemed to be an asset or liability, will be recognised in accordance with MFRS139 either in profit or loss or as a change to other comprehensive income. If the contingent consideration is classified as equity, it will not be remeasured. Subsequent settlement is accounted for within equity. In instances where the contingent consideration does not fall within the scope of MFRS139, it is measured in accordance with the appropriate MFRS.

(ii) Transactions eliminated on consolidation

Intra-group balances, and any unrealised income and expenses arising from intra-group transactions, are eliminated in full in preparing the consolidated financial statements.

(iii) Changes in Group composition

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Group loses control over a subsidiary, it:

- Derecognises the assets (including goodwill) and liabilities of the subsidiary;
- Derecognises the carrying amount of any non-controlling interest;
- Derecognises the cumulative translation differences, recorded in equity;
- Recognises the fair value of the consideration received;
- Recognises the fair value of any investment retained as an associate, joint venture or financial asset;
- Recognises any surplus or deficit in profit or loss;
- Reclassifies the Group's share of components previously recognised in other comprehensive income to profit or loss or retained earnings, as appropriate.

2.3. Significant accounting estimates and judgements

Estimates, assumptions concerning the future and judgements are made in the preparation of the financial statements. They affect the application of the Group's accounting policies, reported amounts of assets, liabilities, income and expenses, and disclosures made. They are assessed on an on-going basis and are based on historical experience and other relevant factors, including expectations of future events that are believed to be reasonable under the circumstances.

(a) The key assumptions concerning the future and other key sources of estimation or uncertainty at the statement of financial position date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are set out below:

(i) Depreciation of property, plant and equipment

The costs of property, plant and equipment of the Group and of the Company are depreciated on a straight-line basis over the useful lives of the assets. Management estimates the useful lives of the property, plant and equipment as stated in Note 2.4(a)(iv). These are common life expectancies applied in the industry. Changes in the expected level of usage and technological developments could impact the economic useful lives and the residual values of these assets, therefore future depreciation charges could be revised. The carrying amount of the Group's and of the Company's property, plant and equipment at 31 December 2014 are stated in Note 3 to the financial statements.

(ii) Amortisation of intangible asset

The costs of intangible asset of the Group and of the Company are amortised on a straight-line basis over the useful life of the asset. Management estimates the useful life of the computer software as stated in Note 2.4(d). These are common life expectancies applied in the industry. Changes in the expected level of usage and technological developments could impact the economic useful life and the residual value of this asset, therefore future amortisation charges could be revised. The carrying amount of the Group's and of the Company's intangible asset at 31 December 2014 is stated in Note 6 to the financial statements.

(iii) Income taxes

The Group has exposure to income taxes in numerous jurisdictions. There are certain transactions and computations for which the ultimate tax determination is uncertain during the ordinary course of business. Significant judgement is involved especially in determining tax base allowances and deductibility of certain expenses in determining the Group-wide provision for income taxes. The Group recognises liabilities for expected tax issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recognised, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

(b) The following are the judgements made by the management in the process of applying the Group's accounting policies that have significant effect on the amounts recognised in the financial statements:

(i) Impairment of loans and receivables

The policy for impairment of loans and receivables of the Group and the Company is based on the evaluation of collectability and aged analysis of accounts and on the management's judgement. A considerable amount of judgement is required in assessing the ultimate realisation of these receivables, including the current creditworthiness and the past collection history of each customer. If the financial conditions of customers with which the Group and the Company deals were to deteriorate, resulting in an impairment of the ability to make payments, additional impairment may be required.

(ii) Classification of financial assets

The Group classifies financial assets as held-to-maturity investments when it has a positive intention and ability to hold the investment to maturity. Management exercises judgement based on the Group's financial risk management policy to determine whether the financial assets are to be classified as held-to-maturity.

(iii) Classification between investment properties and property, plant and equipment

The Group and the Company has developed certain criteria based on MFRS 140 in making judgement whether a property qualifies as an investment property. Investment property is a property held to earn rentals or for capital appreciation or both.

The properties of the Group and the Company comprise a portion that is held to earn rentals or for capital appreciation and another portion that is held for use in the production or supply of goods or services or for administrative purposes. If these portions could be sold separately (or leased out separately under a finance lease), the Group and the Company would account for the portions separately. If the portions could not be sold separately, the property is an investment property only if an insignificant portion is held for use in the production or supply of goods or services or for administrative purposes. Judgement is made on an individual property basis to determine whether ancillary services are so significant that a property does not qualify as investment property.

(iv) Estimation of fair value of properties

In the absence of current prices in an active market for similar properties, the Group and the Company considers information from a variety of sources, including:

(1) current prices in an active market for properties of a different nature, condition or location, adjusted to reflect those differences; or

(2) recent prices of similar properties based on less active market, with adjustments to reflect any changes in economic conditions since the date of the transactions that occurred at those prices.

2.4. Summary of significant accounting policies

(a) Property, plant and equipment

(i) Recognition and measurement

Property, plant and equipment are stated at cost less accumulated depreciation and accumulated impairment losses. The policy for the recognition and measurement of impairment losses is in accordance with Note 3.

Cost includes expenditures that are directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the cost of materials and direct labour, any other cost directly attributable to bringing the asset to working condition for its intended use and the costs of dismantling and removing the items and restoring the site on which they are located.

When significant parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment.

(ii) Reclassification to investment properties

When the use of a property changes from owner-occupied to investment property, the property is reclassified as investment property and accounted for in accordance with Note 3.

(iii) Subsequent costs

The cost of replacing part of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Company and its cost can be measured reliably. The costs of the day-to-day servicing of property, plant and equipment are recognised in profit or loss as incurred.

(iv) Depreciation

Depreciation is recognised in the profit or loss on a straight-line basis over the estimated useful lives of each part of an item of property, plant and equipment. Leasehold land and building are amortised over the period of the lease. The estimated useful lives for the current and comparative periods are as follows:

Computer equipment	3 to 5 years
Office equipment	10 years
Furniture and fittings	10 years
Renovation	10 years
Motor vehicles	5 years

The depreciable amount is determined after deducting the residual value.

Depreciation methods, useful lives and residual values are reassessed at each financial year end.

Gains or losses on disposals are determined by comparing net disposal proceeds with carrying amount and are included in profit/(loss) from operations.

(b) Investment Properties

Investment properties are properties which are owned or held under a leasehold interest to earn rental income or for capital appreciation or for both. Properties that are occupied by the Group and the Company are accounted for as owner-occupied rather than as investment properties. Investment properties are measured initially at cost, including related transaction costs. Subsequent to initial recognition, investment properties are stated at cost less accumulated depreciation and any accumulated impairment losses, consistent with the accounting policy for property, plant and equipment as stated in accounting policy Note 4.

Depreciation is recognised in the profit or loss on a straight-line basis over the estimated useful life of the properties. Leasehold land and building are amortised over the period of the lease.

Investment properties are derecognised when either they have been disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognised in the profit or loss in the year in which they arise.

(c) Impairment of non-financial assets

The carrying amounts of assets are reviewed at each reporting date to determine whether there is any indication of impairment.

If any such indication exists then the asset's recoverable amount is estimated. The recoverable amount is estimated at each reporting date or more frequently when indications of impairment are identified.

An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount unless the asset is carried at a revalued amount, in which case the impairment loss is recognised directly against any revaluation surplus for the asset to the extent that the impairment loss does not exceed the amount in the revaluation surplus for that same asset. A cash-generating unit is the smallest identifiable asset group that generates cash flows that largely are independent from other assets and groups. Impairment losses are recognised in the profit or loss in the period in which it arises. Impairment losses recognised in respect of cash-generating units are allocated first to reduce the carrying amount of any goodwill allocated to the units (groups of units) and then to reduce the carrying amount of the other assets in the unit (groups of units) on a pro rata basis.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

An impairment loss for an asset other than goodwill is reversed if, and only if, there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. The carrying amount of an asset other than goodwill is increased to its revised recoverable amount, provided that this amount does not exceed the carrying amount that would have been determined (net of amortisation or depreciation) had no impairment loss been recognised for the asset in prior years. A reversal of impairment loss for an asset other than goodwill is recognised in profit or loss, unless the asset is carried at revalued amount, in which case, such reversal is treated as a revaluation increase.

(d) Intangible asset

Acquired computer software licenses are capitalised on the basis of the costs incurred to acquire and bring to use of the specific software. These costs are amortised over their estimated useful lives.

Costs associated with developing or maintaining computer software programmes are recognised as an expense when incurred. Cost that are directly associated with identifiable and unique software products controlled by the Group, and that will probably generate economic benefits exceeding costs beyond one year, are recognised as intangible assets. Costs include employee costs incurred as a result of developing software and an appropriate portion of relevant of overheads.

Costs which enhances or extends the performance of computer software programmes beyond their original specifications is recognised as a capital improvement and added to the original cost of software.

Computer software development costs recognised as assets are amortised using straight line method over their estimated useful lives, not exceeding a period of 10 years.

(e) Cash and cash equivalents

Cash and cash equivalents include cash and bank balances, deposits and other short term highly liquid investments that are readily convertible to cash and are subject to insignificant risk of changes in value. For the purpose of the statement of cash flows, cash and cash equivalents are presented net of bank overdrafts and pledged deposits, if any.

(f) Foreign currencies

(i) The individual financial statements of each entity in the Group are presented in the currency of the primary economic environment in which the entity operates ("the functional currency"). The consolidated financial statements are presented in Ringgit Malaysia (RM), which is also the Company's functional currency.

(ii) Foreign currency transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in the profit or loss.

Non-monetary items initially denominated in foreign currencies, which are carried at historical cost are translated using historical rate as of the date of acquisition and non-monetary items which are carried at fair value are translated using the exchange rate that existed when the values were determined.

(iii) Foreign operations

The results and financial position of all the group entities (none of which has the currency of a hyperinflationary economy) that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

(1) assets and liabilities for each statement of financial position presented are translated at the closing rate at the date of that statement of financial position;

(2) income and expenses for each profit or loss are translated at average exchange rates (unless this average is not a reasonable approximation of the cumulative effect of the rates prevailing on the transaction dates, in which case income and expenses are translated at the dates of the transactions); and

(3) all resulting exchange differences are recognised as a separate component of equity.

On consolidation, exchange differences arising from the translation of the net investment in foreign entities, and of borrowings, are taken to shareholders' equity. When a foreign operation is sold, such exchange differences are recognised in the profit or loss as part of the gain or loss on sale.

Goodwill and fair value adjustments arising on the acquisition of foreign subsidiary companies are treated as assets and liabilities and translated at the rates of exchange ruling at the transaction dates.

(g) Financial assets

Financial assets are recognised in the statement of financial position when the Group and the Company have become a party to the contractual provisions of the instruments.

The Group classifies its financial assets in the following categories: financial assets at fair value through profit or loss, loans and receivables, held-to-maturity investments and available-for-sale financial assets. The classification depends on the purpose for which the financial assets were acquired. Management determines the classification of its financial assets at initial recognition and re-evaluates this at every reporting date except for financial assets at fair value through profit or loss.

(i) Financial assets at fair value through profit or loss

Financial assets at fair value through profit or loss are financial assets that are designated or held for trading. A financial asset is classified in this category if acquired principally for the purpose of selling in the short term. Derivatives are classified as held for trading unless they are designated as hedges. Assets in this category are classified as current assets.

Financial assets at fair value through profit or loss are initially recognised at fair value and transaction costs are expensed in the profit or loss. After initial recognition, financial assets at fair value through profit or loss are subsequently measured at fair value.

(ii) Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are unquoted in an active market. They arise when the Group provides money, goods or services directly to a debtor with no intention of trading the receivable.

Loans and receivables in the statements of financial position consist of trade and other receivables, marketable securities and inter-company loans and advances. These are classified as current assets, except for those having maturity dates later than 12 months after the reporting date which are classified as non-current assets.

Subsequent to initial recognition, loans and receivables are carried at amortised cost using the effective interest method. Gains and losses are recognised in profit or loss when the loans and receivables are derecognised or impaired, and through the amortisation process.

(iii) Held-to-maturity investments

Held-to-maturity investments are non-derivative financial assets with fixed or determinable payments and fixed maturities that the Group's management has positive intention and ability to hold to maturity.

Subsequent to initial recognition, held-to maturity investments are carried at amortised cost using the effective interest method. Gains and losses are recognised in profit or loss when the held-to-maturity investments are derecognised or impaired, and through the amortisation process.

(iv) Available-for-sale financial assets

Available-for-sale financial assets are non-derivatives that are either designated in this category or not classified in any of the other categories. They are included in non-current assets unless management intends to dispose of the investment within 12 months of the statement of financial position date.

Investments are initially recognised at fair value plus transaction costs that are directly attributable to their acquisitions. Investment in equity instruments whose fair value cannot be reliably measured are valued at cost less impairment loss.

After initial recognition, available-for-sale financial assets are subsequently measured at fair value. Any gains and losses from changes in fair value of the financial assets are recognised in other comprehensive income, except that impairment losses, foreign exchange gains and losses on monetary instruments and interest calculated using the effective interest method are recognised in profit or loss.

A financial asset is derecognised where the contractual right to receive cash flows from the asset has expired. On derecognition of a financial asset in its entirety, the difference between the carrying amount and the sum of the consideration received and any cumulative gain or loss that had been recognised in other comprehensive income is recognised in profit or loss.

Gains or losses arising from changes in the fair value of the financial assets at fair value through profit or loss category are presented in the profit or loss in the period in which they arise. Dividend income from financial assets at fair value through profit or loss is recognised in the profit or loss as part of other operating income when the Group's right to receive payments is established.

(h) Impairment of financial assets

A financial asset is considered to be impaired if objective evidence indicates that one or more events have had a negative effect on the estimated future cash flows of that asset. For an equity instrument, a significant or prolonged declined in fair value below its cost is also considered objective evidence of impairment.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount, and the present value of the estimated future cash flows discounted at the original effective interest rate.

Individually significant financial assets are tested for impairment on an individual basis. The remaining financial assets are assessed collectively in groups that share similar credit risk characteristics.

All impairment losses are recognised in profit or loss.

An impairment loss is reversed if the reversal can be related objectively to an event occurring after the impairment loss was recognised. For financial assets measured at amortised costs, the reversal is recognised in other comprehensive income.

(i) Financial liabilities

Short-term borrowings, trade and other payables are classified as financial liabilities in the statement of financial position as there is a contractual obligation to make cash payments to another entity and is contractually obliged to settle the liabilities in cash.

Financial liabilities are initially recognised at fair value plus transaction costs, and are subsequently measured at amortised cost using the effective interest method, except when the Group designates the liabilities at fair value through profit or loss. Financial liabilities are designated at fair value through profit or loss when:

(i) they are acquired or incurred for the purpose of selling or repurchasing in the near term;

(ii) the designation eliminates or significantly reduces measurement or recognition inconsistencies that would otherwise arise from measuring financial liabilities or recognising gains or losses on them; or

(iii) the financial liability contains an embedded derivative that would need to be separately recorded.

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires.

(j) Income taxes

Income tax on the profit or loss for the financial year comprises current and deferred tax. Current tax is the expected amount of income taxes payable in respect of the taxable profit for the financial year and is measured using the tax rates that have been enacted at the statement of financial position date.

Deferred tax is provided for, using the liability method, on temporary differences at the statement of financial position date between the tax bases of assets and liabilities and their carrying amounts in the financial statements. Deferred tax liabilities are recognised for all taxable temporary differences and deferred tax assets are recognised for all deductible temporary differences, unused tax losses and unused tax credits to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences, unused tax losses and unused tax credits can be utilised. Deferred tax is not recognised if the temporary difference arises from goodwill or negative goodwill or from the initial recognition of an asset or liability in a transaction which is not a business combination and at the time of the transaction, affects neither accounting profit nor taxable profit.

Deferred tax is measured at the tax rates that are expected to apply in the period when the asset is realised or the liability is settled, based on tax rates that have been enacted or substantively enacted at the statement of financial position date. Deferred tax is recognised in the profit or loss, except when it arises from a transaction which is recognised directly in equity, in which case the deferred tax is also charged or credited directly in equity, or when it arises from a business combination that is an acquisition, in which case the deferred tax is included in the resulting goodwill or negative goodwill.

(k) Revenue recognition

(i) Goods sold and services rendered

Revenue from sales of goods and services is measured at the fair value of the consideration receivable and is recognised when significant risk and rewards have been transferred to the buyer, or upon performance of services, net of sales taxes and discounts.

(ii) Rental income

Rental income from investment property is recognised on a straight-line basis over the term of the lease.

(iii) Interest income

Interest income is recognised on a time proportion basis that takes into account the effective yield on the asset.

(iv) Dividend income

Dividend income is recognised when the shareholder's right to receive payment is established.

(l) Employee benefits

(i) Short term employee benefits

Wages, salaries, bonuses and social security contributions are recognised as an expense in the financial year in which the associated services are rendered by employees of the Company and its subsidiary companies. Short term accumulating compensated absences such as paid annual leave are recognised when services are rendered by employees that increase their entitlement to future compensation absences. Short term non-accumulating compensated absences such as sick and medical leave are recognised when the absences occur.

The expected cost of accumulating compensated absences is measured as additional amount expected to be paid as a result of the unused entitlement that has accumulated at the statement of financial position date.

(ii) Defined contribution plans

As required by law, companies in Malaysia make contributions to the Employees Provident Fund ("EPF"). The Group's foreign subsidiary company makes contributions to its respective country's statutory pension scheme. Such contributions are recognised as an expense in the profit or loss as incurred.

(iii) Employee Share Option Scheme ("ESOS")

The N2N ESOS, an equity-settled, share-based compensation plan, allows the Company and its subsidiary company's employees to acquire ordinary shares of the Company. The total fair value of share options granted to employees is recognised as an employee cost with a corresponding increase in the share option reserve within equity over the vesting period and taking into account the probability that the options will vest. The fair value of share options is measured at grant date, taking into account, if any, the market vesting conditions upon which the options were granted but excluding the impact of any non-market vesting conditions. Non-market vesting conditions are included in assumptions about the number of options that are expected to become exercisable on vesting date.

At each statement of financial position date, the Group revises its estimates of the number of options that are expected to become exercisable on vesting date. It recognised the impact of the revision of original estimates, if any, in the profit or loss, and a corresponding adjustment to equity over the remaining vesting period. The equity amount is recognised in the share option reserve until the option is exercised, upon which it will be transferred to share premium, or until the option expires, upon which it will be transferred directly to retained earnings.

The proceeds received net of any directly attributable transaction costs are credited to equity when the options are exercised.

(m) Equity instruments

Ordinary shares are classified as equity. Dividends on ordinary shares are recognised in equity in the period in which they are declared.

The transaction costs of an equity transaction are accounted for as a deduction from equity, net of tax. Equity transaction costs comprise only those incremental external costs directly attributable to the equity transaction which would otherwise have been avoided.

(n) Segment reporting

For management purposes, the Group is organised into operating segment based on their business activities. An operating segment's operating results are reviewed regularly by the chief operating decision maker, who will make decisions to allocate resources to the segments and assess the segment performance.

(o) Treasury shares

When shares of the Company, that have not been cancelled, recognised as equity are reacquired, the amount of consideration paid is recognised directly in equity. Reacquired shares are classified as treasury shares and presented as a deduction from total equity. No gain or loss is recognised in the profit or loss on the purchase, sale, issue or cancellation of treasury shares. When treasury shares are reissued by resale, the difference between the sales consideration and the carrying amount is recognised in equity.

(p) Warrant reserve

Proceeds from the issuance of warrants, net of issue costs, are credited to warrants reserve which is non-distributable. Warrants reserve is transferred to the share premium account upon the exercise of warrants and the warrants reserve in relation to the unexercised warrants at the expiry of the warrants will be transferred to retained earnings.

3. PROPERTY, PLANT AND EQUIPMENT

Group	Long term leasehold land RM	Long term leasehold building RM	Computer equipment RM	Office equipment RM	Furniture and fittings RM	Renovation RM	Motor vehicles RM	Total RM
Cost								
At 1.1.2014	12,366,833	10,731,795	46,727,283	393,050	516,986	1,481,784	170,230	72,387,961
Additions	-	-	3,270,598	42,388	1,840	173,110	196,288	3,684,224
Exchange differences	-	-	89,610	448	333	-	-	90,391
At 31.12.2014	12,366,833	10,731,795	50,087,491	435,886	519,159	1,654,894	366,518	76,162,576
Accumulated depreciation								
At 1.1.2014	248,882	317,930	38,509,126	198,752	241,677	181,225	170,230	39,867,822
Charge for the financial year	129,852	214,636	2,908,314	36,128	46,611	153,471	21,647	3,510,659
Exchange differences	-	-	70,745	231	159	-	-	71,135
At 31.12.2014	378,734	532,566	41,488,185	235,111	288,447	334,696	191,877	43,449,616
Carrying amount								
At 31.12.2014	11,988,099	10,199,229	8,599,306	200,775	230,712	1,320,198	174,641	32,712,960

Included in the property, plant and equipment of the Group is motor vehicle acquired under finance lease arrangement with carrying amount of RM122,152 (2013: Nil).

Group	Long term leasehold land RM	Long term leasehold building RM	Computer equipment RM	Office equipment RM	Furniture and fittings RM	Renovation RM	Motor vehicles RM	Total RM
Cost								
At 1.1.2013	-	17,837,569	42,522,923	379,044	520,229	1,620,437	262,982	63,143,184
Additions	-	-	4,061,563	13,795	6,382	337,628	-	4,419,368
Disposals	-	-	-	-	-	-	(92,752)	(92,752)
Written-off	-	-	(17,334)	(600)	(10,225)	(476,281)	-	(504,440)
Reclassifications	12,366,833	(7,105,774)	-	-	-	-	-	5,261,059
Exchange differences	-	-	160,131	811	600	-	-	161,542
At 31.12.2013	12,366,833	10,731,795	46,727,283	393,050	516,986	1,481,784	170,230	72,387,961
Accumulated depreciation								
At 1.1.2013	-	171,687	35,417,236	160,881	195,805	332,210	262,982	36,540,801
Charge for the financial year	129,852	214,636	3,005,012	37,942	51,674	140,294	-	3,579,410
Disposals	-	-	-	-	-	-	(92,752)	(92,752)
Written-off	-	-	(15,049)	(365)	(6,001)	(291,279)	-	(312,694)
Reclassifications	119,030	(68,393)	-	-	-	-	-	50,637
Exchange differences	-	-	101,927	294	199	-	-	102,420
At 31.12.2013	248,882	317,930	38,509,126	198,752	241,677	181,225	170,230	39,867,822
Carrying amount								
At 31.12.2013	12,117,951	10,413,865	8,218,157	194,298	275,309	1,300,559	-	32,520,139

Company	Long term leasehold land RM	Long term leasehold building RM	Computer equipment RM	Office equipment RM	Furniture and fittings RM	Renovation RM	Motor vehicles RM	Total RM
Cost								
At 1.1.2014	12,366,833	10,731,795	32,565,104	362,697	492,012	1,462,113	170,230	58,150,784
Additions	-	-	1,201,393	30,388	1,840	145,083	-	1,378,704
At 31.12.2014	12,366,833	10,731,795	33,766,497	393,085	493,852	1,607,196	170,230	59,529,488
Accumulated depreciation								
At 1.1.2014	248,882	317,930	31,931,308	188,607	231,812	180,799	170,230	33,269,568
Charge for the financial year	129,852	214,636	353,325	32,703	44,190	149,746	-	924,452
At 31.12.2014	378,734	532,566	32,284,633	221,310	276,002	330,545	170,230	34,194,020
Carrying amount								
At 31.12.2014	11,988,099	10,199,229	1,481,864	171,775	217,850	1,276,651	-	25,335,468
At 1.1.2013	-	17,837,569	32,464,647	349,502	497,477	1,620,437	262,982	53,032,614
Additions	-	-	117,791	13,795	4,760	317,957	-	454,303
Disposals	-	-	-	-	-	-	(92,752)	(92,752)
Written-off	-	-	(17,334)	(600)	(10,225)	(476,281)	-	(504,440)
Reclassifications	12,366,833	(7,105,774)	-	-	-	-	-	5,261,059
At 31.12.2013	12,366,833	10,731,795	32,565,104	362,697	492,012	1,462,113	170,230	58,150,784
Accumulated depreciation								
At 1.1.2013	-	171,687	31,046,455	154,007	188,604	332,210	262,982	32,155,945
Charge for the financial year	129,852	214,636	899,902	34,965	49,209	139,868	-	1,468,432
Disposals	-	-	-	-	-	-	(92,752)	(92,752)
Written-off	-	-	(15,049)	(365)	(6,001)	(291,279)	-	(312,694)
Reclassifications	119,030	(68,393)	-	-	-	-	-	50,637
At 31.12.2013	248,882	317,930	31,931,308	188,607	231,812	180,799	170,230	33,269,568
Carrying amount								
At 31.12.2013	12,117,951	10,413,865	633,796	174,090	260,200	1,281,314	-	24,881,216

The long term leasehold land and building have been pledged to a licensed bank as security for credit facilities granted to the Group and the Company as disclosed in Note 17 to the financial statements.

The remaining lease period of the long term leasehold land is 93 (2013: 94) years.

4. INVESTMENT PROPERTIES

		Group/Company	
		2014	2013
	Note	RM	RM
Leasehold land and buildings			
Cost			
At 1 January		14,001,873	19,262,931
Reclassifications	3	-	(5,261,058)
At 31 December		14,001,873	14,001,873
Accumulated depreciation			
At 1 January		414,807	185,406
Charge for the financial year		280,036	280,038
Reclassification	3	-	(50,637)
At 31 December		694,843	414,807
Carrying amount		13,307,030	13,587,066
Fair value		29,437,502	29,437,502

The above investment properties have been pledged to a licensed bank as security for credit facilities granted to the Company as disclosed in Note 17 to the financial statements.

The remaining lease period of the investment properties is 93 (2013: 94) years.

The income earned by the Group from rental of investment properties amounted to RM1,357,068 (2013: RM752,259). Direct operating expenses incurred on the investment properties during the financial year amounted to RM218,348 (2013: RM168,184).

The fair values of the investments as at 31 December are arrived at by reference to market evidence of transaction prices for similar properties. Detail of the Group investment properties and information about the fair value hierarchy as of 31 December 2014 are as follow:

	Level 1	Level 2	Level 3	Total
	RM	RM	RM	RM
2014/2013				
Investment properties	-	14,001,873	-	14,001,873

5. INVESTMENT IN SUBSIDIARY COMPANIES

(a) Investment in subsidiary companies

	Company	
	2014	2013
	RM	RM
Unquoted shares, at cost		
In Malaysia	1,000,002	1,000,002
Outside Malaysia	1,392,000	1,392,000
	2,392,002	2,392,002
Less: Impairment loss	(297,002)	(297,002)
	2,095,000	2,095,000

Movement on the provision for impairment of investment in subsidiary companies:

	Company	
	2014	2013
	RM	RM
At 1 January/31 December	297,002	297,002

(b) The subsidiary companies and shareholding therein are as follows:

Name of company	Country of incorporation	Effective equity interest (%)		Principal activities
		2014	2013	
		%	%	
Direct holding:				
* N2N Connect Pte. Ltd.	Singapore	100	100	Provide consultancy services, sales, marketing and related activities
N2N Global Solutions Sdn. Bhd.	Malaysia	100	100	Research and development of software packages and provision of design, programming, consultancy services and related services
NGN Connection Sdn. Bhd.	Malaysia	100	100	Provision of managed network services, consultancy services, sales, marketing and related activities
Subsidiary of N2N Global Solutions Sdn. Bhd.				
Influx Biotech Sdn. Bhd.	Malaysia	100	-	Researcher and developer of software packages and provider of design, programming, consultancy services and related activities
Subsidiary of N2N Connection Sdn. Bhd.				
Global Fin Net Sdn. Bhd.	Malaysia	100	-	Provision of data center, system integration, managed network services and related services

* *Subsidiary company not audited by Morison Anuarul Azizan Chew.*

(c) Acquisition of a subsidiary companies

The effect of the acquisition on the financial results of the Group during the financial year is as follow:

	Company	
	2014	**2013**
	RM	**RM**
Administrative expenses	7,742	-
Net loss for the financial year	7,742	-

A summary of effect of the acquisition on the financial position of the Group is as follows:

	Company	
	2014	**2013**
	RM	**RM**
Cash and bank balance	50,004	-
Other payables	(2,404)	-
Amount owing to holding company	(55,338)	-
	(7,738)	-

The fair value of the assets and liabilities assumed from the acquisition of the subsidiary companies are as follow:

	Company	
	2014	**2013**
	RM	**RM**
Purchase consideration satisfies by cash:		
Influx Biotech Sdn. Bhd.	2	-
Global Fin Net Sdn. Bhd.	2	-
Less: Cash and cash equivalent of subsidiary companies acquired	(4)	-
Net cash outflow on acquisition of subsidiary companies	-	-

6. INTANGIBLE ASSET

		Group	
		2014	2013
	Note	RM	RM
Computer software			
Cost			
At 1 January		20,428,426	17,491,590
Addition during the financial year	28	3,354,100	2,936,836
At 31 December		23,782,526	20,428,426
Accumulated amortisation			
At 1 January		9,396,649	7,466,355
Amortised during the financial year, included in cost of sales		2,173,540	1,930,294
At 31 December		11,570,189	9,396,649
Carrying amount			
At 31 December		12,212,337	11,031,777

		Company	
		2014	2013
	Note	RM	RM
Computer software			
Cost			
At 1 January		18,984,031	16,636,160
Addition during the financial year	28	2,923,410	2,347,871
At 31 December		21,907,441	18,984,031
Accumulated amortisation			
At 1 January		9,067,013	7,378,120
Amortised during the financial year, included in cost of sales		1,837,137	1,688,893
At 31 December		10,904,150	9,067,013
Carrying amount			
At 31 December		11,003,291	9,917,018

(a) Impairment test for intangible asset

Computer software is subject to impairment testing by allocation to the software service cash-generating unit ("CGU").

(b) Key assumptions used to determine recoverable amount as follow:

The recoverable amount of a CGU is determined based on value in use calculations using cash flow projections based on financial budgets approved by the Directors covering a 5 year period. The revenue growth over the 5 years period is projected based on management's estimation taking into consideration secured orders, anticipated identified future contracts and historical growth rate. A pre-tax discount rate of 9.50% (2013: 7.85%) per annum was applied to the cash flow projections, after taking into consideration the expected rate of return and various risk relating to the CGU.

(c) Sensitivity to changes in assumptions

With regard to the assessment of value-in-use of the respective CGU, management believes that no reasonably possible change in any of the above key assumptions would cause the carrying values of the units to materiality exceed their recoverable amounts.

7. TRADE RECEIVABLES

The Group and the Company's normal trade credit terms range from 30 to 90 days (2013: 30 to 90 days).

The ageing analysis is as follows:

	Group		Company	
	2014	**2013**	**2014**	**2013**
	RM	**RM**	**RM**	**RM**
Neither past due nor impaired	2,042,927	2,820,429	158,535	369,568
1 to 30 days past due but not impaired	984,496	1,417,910	45,751	64,570
31 to 60 days past due but not impaired	1,338,799	1,229,075	8,193	3,866
61 to 90 days past due but not impaired	1,181,619	968,178	26,247	1,381
91 to 120 days past due but not impaired	916,981	923,606	49,859	9,984
More than 121 days past due but not impaired	3,320,101	1,042,305	104,881	113,304
	7,741,996	5,581,074	234,931	193,105
	9,784,923	8,401,503	393,466	562,673

Trade receivables that are neither past due nor impaired are creditworthy debtors with good payment records with the Group and the Company. These debtors are mostly long term customers with no history of default in payments.

The Group's and the Company's trade receivables that are past due at the reporting date but not impaired relate mainly to customers who have never defaulted on payments but are slow paymasters, hence, periodically monitored.

8. OTHER RECEIVABLES

	Group		Company	
	2014	2013	2014	2013
	RM	RM	RM	RM
Other receivables	1,348,427	311,035	478,212	277,194
Deposits	399,575	327,501	163,816	170,166
Prepayments	770,748	229,317	42,749	57,380
	2,518,750	867,853	684,777	504,740
Less: Allowance for impairment losses	(222,150)	-	(222,150)	-
	2,296,600	867,853	462,627	504,740

Movement on the provision for impairment of other receivables:

	Group		Company	
	2014	2013	2014	2013
	RM	RM	RM	RM
At 1 January	-	-	-	-
Allowance made during the year	222,150	-	222,150	-
At 31 December	222,150	-	222,150	-

9. AMOUNT OWING BY HOLDING COMPANY

(a) The Directors regard N2N Connect Holdings Sdn. Bhd., a company incorporated in Malaysia, as the holding company.

(b) This represents unsecured interest free advances which are repayable on demand.

10. AMOUNT OWING BY/(TO) SUBSIDIARY COMPANIES

This represents unsecured interest free advances which are repayable on demand.

11. AMOUNT OWING BY/(TO) A RELATED COMPANY

These represent unsecured interest free advances which are repayable on demand.

12. MARKETABLE SECURITIES

	Group/Company	
	2014	2013
	RM	RM
Held for trading investment		
Quoted unit trusts in Malaysia	86,537,742	57,775

The market value of the quoted unit trusts is disclosed in Note 31 to the financial statements.

13. DEPOSITS WITH LICENSED BANKS

Interest rates on deposits with licensed banks range from 3.70% to 4.03% (2013: 0.72% to 2.72%) per annum and have average maturity period of 1 to 180 days (2013: 1 to 4 days).

14. TRADE PAYABLES

The normal trade credit terms granted to the Group and the Company range from 15 to 90 days (2013: 15 to 90 days).

15. OTHER PAYABLES

	Group		Company	
	2014	2013	2014	2013
	RM	RM	RM	RM
Other payables	416,849	991,441	132,952	294,566
Accruals	1,886,823	1,222,811	305,829	377,474
Deposit received	441,038	314,250	441,038	314,250
	2,744,710	2,528,502	879,819	986,290

16. AMOUNT OWING TO DIRECTORS

This represents unsecured interest free advances which are repayable on demand.

17. BANK BORROWINGS

	Group		Company	
	2014	2013	2014	2013
	RM	RM	RM	RM
Secured				
Term loan	4,986,870	16,355,560	4,986,870	16,355,560
Bank overdraft	-	1,718,377	-	1,718,377
Finance lease liabilities	61,375	-	-	-
	5,048,245	18,073,937	4,986,870	18,073,937
Analysed as:				
Repayable within twelve months				
Term loan	704,400	2,044,444	704,400	2,044,444
Bank overdraft	-	1,718,377	-	1,718,377
Finance lease liabilities	23,707	-	-	-
	728,107	3,762,821	704,400	3,762,821
Repayable after twelve months				
Term loan	4,282,470	14,311,116	4,282,470	14,311,116
Finance lease liabilities	37,668	-	-	-
	4,320,138	14,311,116	4,282,470	14,311,116

The above credit facilities obtained from a licensed bank are secured on the following:

(a) fixed charge on the Company's long term leasehold land and building and investment properties;

(b) assignment of Rental Account and Rental Income arising from the investment properties;

(c) assignment of Revenue Account and Revenue Proceeds arising from the investment properties; and

(d) assignment of property purchase agreement and property power of attorney over the long term leasehold land and buildings and investment properties.

Maturity of borrowings is as follows:

	Group		Company	
	2014	**2013**	**2014**	**2013**
	RM	**RM**	**RM**	**RM**
Within one year	728,107	3,762,817	704,400	3,762,817
Between one and two years	729,250	2,044,440	704,400	2,044,440
Between two and five years	2,126,018	6,133,320	2,113,200	6,133,320
After five years	1,464,870	6,133,360	1,464,870	6,133,360
	5,048,245	18,073,937	4,986,870	18,073,937

Range of interest rates during the financial year is as follows:

	Group		Company	
	2014	**2013**	**2014**	**2013**
	RM	**RM**	**RM**	**RM**
Term loan	6.60	6.60	6.60	6.60
Bank overdraft	7.85	7.85	7.85	7.85
Finance lease liabilities	4.61	-	-	-

18. SHARE CAPITAL

	Group/Company			
	2014	2013	2014	2013
	Number of Ordinary Shares		RM	RM
Ordinary shares of RM0.10 each:				
Authorised				
At 1 January	500,000,000	500,000,000	50,000,000	50,000,000
Additional during the financial year	500,000,000	-	50,000,000	-
At 31 December	1,000,000,000	500,000,000	100,000,000	50,000,000
Issued and fully paid				
At 1 January	304,074,800	299,737,800	30,407,480	29,973,780
Issued during the financial year	135,611,865	4,337,000	13,561,187	433,700
At 31 December	439,686,665	304,074,800	43,968,667	30,407,480

On 2 July 2014, the authorised share capital of the Company was increased from RM50,000,000 comprising 500,000,000 ordinary shares of RM0.10 each to RM100,000,000 comprising 1,000,000,000 ordinary shares of RM0.10 each by creation of an additional 500,000,000 new ordinary shares.

During the year 2014, the issued and paid-up share capital of the Company was increased from RM30,407,480 to RM43,968,667 by way of the issuance of:

(a) 583,600 new ordinary shares of RM0.10 each for cash pursuant to the Company's Employee Share Option Scheme at weighted exercise price of RM0.22 per ordinary share;

(b) 13,000,665 new ordinary shares of RM0.10 each for cash pursuant to the exercise of Warrants at an exercise price of RM0.32 per ordinary share; and

(c) 122,027,600 new ordinary shares of RM0.10 each for cash pursuant to the private placement at fair value of RM0.89 per ordinary share.

The new ordinary shares issued during the financial year ranked pari passu in all respects with the existing ordinary shares of the Company.

As at 31 December 2014, of the total 439,686,670 (2013: 304,074,800) issued and fully paid ordinary shares, 7,380,500 (2013: 3,522,200) ordinary shares are held as treasury shares by the Company. As at 31 December 2014, the number of ordinary shares in issue after deducting treasury shares held is 432,306,170 (2013: 300,552,600) ordinary shares of RM0.10 each.

19. TREASURY SHARES

	Group/Company	
	2014	**2013**
	RM	**RM**
At 1 January	1,656,911	916,504
Shares purchased during the financial year	3,226,684	1,661,439
Shares resold during the financial year	(2,354)	(921,032)
At 31 December	4,881,241	1,656,911
No. of ordinary shares at RM0.10 each	7,380,500	3,522,200

During the financial year, the Company had purchased a total of 3,863,300 (2013: 3,532,300) ordinary shares of its issued share capital from the open market at a total cost of RM3,226,684 (2013: RM1,661,439). The average price paid for the shares purchased was RM0.75 (2013: RM0.47) per share. The repurchase transactions were financed by internally generated funds. The repurchased shares are held as treasury shares and carried at cost in accordance with the requirements of section 67A of the Companies Act, 1965. The Company has resold a total of 5,000 (2013: 2,857,700) treasury shares to the open market for a total consideration of RM2,354 (2013: RM921,032) at RM0.52 per shares. Treasury shares had no rights to voting, dividends and participation in other distribution.

20. RESERVES

	Group		Company	
	2014	**2013**	**2014**	**2013**
	RM	**RM**	**RM**	**RM**
Non-distributable				
Foreign currency translation reserve	309,075	246,778	-	-
Warrants reserve	1,677,749	1,937,762	1,677,749	1,937,762
	1,986,824	2,184,540	1,677,749	1,937,762

(a) Foreign currency translation reserve

The foreign currency translation reserve represents exchange differences arising from the translation of the financial statements of foreign operations whose functional currencies are different from that of the Group's presentation currency.

(b) Warrant reserve

On 9 April 2013, the Company issued 99,923,600 5-year Warrants 2013/2018 ("Warrants") at an issue price of RM0.02 each pursuant to a renounceable rights issue of one warrant for every three existing ordinary shares of RM0.10 each held in the Company. The Warrants are constituted by a deed poll dated 5 March 2013. The warrants were listed on Bursa Malaysia on 11 April 2013. During the financial year, a total of 13,000,665 Warrants were exercised. As at 31 December 2014, there was a total of 83,887,435 unexercised Warrants.

The main features of the Warrants are as follows:

- Each Warrant entitles the registered holder at any time during the exercise period to subscribe for one new ordinary share of RM0.10 each in the Company at an exercise price of:

  (a) RM0.32 per ordinary share (immediately preceding the first anniversary of the issuance of the Warrants);
  (b) RM0.38 per ordinary share (from the first anniversary of the issuance of the Warrants up to the date immediately preceding the third anniversary of the issuance of the Warrants); and
  (c) RM0.45 per ordinary share (from the third anniversary of the issuance of the Warrants up to and including the expiry date of the Warrants)

- The exercise price and the number of Warrants are subject to adjustment in the event of alteration to the share capital, bonus issue, capital distribution and rights issue by the Company in accordance with the conditions provided in the deed poll.

- The Warrants shall be exercisable at any time within the period commencing on and including the date of issue of the Warrants and ending on the date preceding the fifth anniversary of the date of issue of the Warrants.

- Upon exercise of the Warrants into new ordinary shares, such shares shall rank pari passu in all respects with the ordinary shares of the Company in issue at the time of exercise except that they shall not be entitled to any dividend or other distributions declared in respect of a financial period prior to the financial period in which the Warrants are exercised or any interim dividend declared prior to the date of exercise of the Warrants.

- At the expiry of the exercise period, any Warrants which have not been exercised will lapse and cease to be valid for any purposes.

21. DEFERRED TAX LIABILITIES

The analysis of deferred tax assets and deferred tax liabilities is as follow:

	Group	
	2014	**2013**
	RM	**RM**
Deferred tax liabilities	907,956	907,956
Deferred tax assets	(664,238)	(664,238)
	243,718	243,718

The components of deferred tax assets and liabilities of the Group during the financial year prior to offsetting are as follows:

	Group	
	2014	**2013**
	RM	**RM**
Deferred tax assets		
- unutilised tax losses	582,104	582,104
- unabsorbed capital allowances	82,134	82,134
	664,238	664,238
Offsetting	(664,238)	(664,238)
Net deferred tax assets	-	-
Deferred tax liabilities:		
- property, plant and equipment	900,626	900,626
- others	7,330	7,330
	907,956	907,956
Offsetting	(664,238)	(664,238)
Net deferred tax liabilities	243,718	243,718

The deductible temporary difference and unutilized tax losses of the Group for which no deferred tax assets were recognized in the statements of financial position are as follow:

	Group	
	2014	**2013**
	RM	**RM**
Deductible temporary differences	290,327	6,119,432
Unutilised tax losses	493,672	1,957,865
	783,999	8,077,297

22. REVENUE

This represents billings for professional services rendered net of discounts.

23. PROFIT BEFORE TAXATION

Profit before taxation is derived after charging/(crediting):

	Group		Company	
	2014	**2013**	**2014**	**2013**
	RM	**RM**	**RM**	**RM**
Allowance for impairment loss on other receivables	222,150	-	222,150	-
Amortisation of intangible asset	2,173,540	1,930,294	1,837,137	1,688,893
Auditors' remuneration				
- statutory	50,290	42,353	20,000	22,000
- other	44,500	15,000	44,500	15,000
- Under/(over) provision in prior year	13,000	(1,265)	13,000	-
Depreciation of property, plant and equipment	3,510,659	3,579,410	924,452	1,468,432
Depreciation of investment properties	280,036	280,038	280,036	280,038
Directors' remuneration				
- fees	105,860	209,644	105,860	209,644
- salaries and other emoluments	1,961,086	1,545,481	232,120	279,102
- EPF	122,141	108,164	27,864	33,467

	Group		Company	
	2014	**2013**	**2014**	**2013**
	RM	**RM**	**RM**	**RM**
Bad debts written off	-	25,725	-	25,725
Rental of premises	218,720	190,230	-	17,051
Gain on disposal of property, plant and equipment	-	(9,600)	-	(9,600)
Property, plant and equipment written-off	-	191,746	-	191,746
Foreign exchange loss/(gain)				
- Realised	8,112	67,454	3,985	(628)
- Unrealised	-	(81,605)	-	(164,285)
Interest expenses	995,810	1,446,656	995,810	1,446,656
Interest income	(75,954)	(18,891)	(63,596)	(5,420)
Dividend income	(1,445,782)	-	(1,445,782)	-
Rental income	(1,324,785)	(752,259)	(1,357,068)	(752,259)
Management fee received/receivable from subsidiary companies	-	-	(1,018,106)	(895,380)

24. TAXATION

	Group		Company	
	2014	**2013**	**2014**	**2013**
	RM	**RM**	**RM**	**RM**
Statutory tax:				
Current year provision	33,000	94,273	33,000	94,273
Under/(Over) provision in prior year	16,991	42,269	(43,145)	42,269
Tax expense/(saving) for the financial year	49,991	136,542	(10,145)	136,542

Domestic income tax is calculated at the Malaysian statutory tax rate of 25% (2013: 25%) of the estimated assessable profit for the financial year. Taxation for other jurisdictions is calculated at the rates prevailing in the respective jurisdictions.

A reconciliation of income tax expense applicable to profit before taxation at the statutory income tax rate to income tax expense at the effective income tax rate of the Group and of the Company are as follows:

	Group		Company	
	2014	**2013**	**2014**	**2013**
	RM	**RM**	**RM**	**RM**
Profit before taxation	7,091,313	6,179,838	5,294,762	7,808,810
Taxation at statutory tax rate of 25% (2013: 25%)	1,772,828	1,544,960	1,323,691	1,952,203
Expenses not deductible for tax purposes	755,694	385,228	477,783	354,842
Tax incentive arising from pioneer status	(1,074,792)	(2,372,848)	(1,074,792)	(2,372,847)
Income not subject to tax	(693,682)	(124,483)	(693,682)	(40,715)
Deferred tax assets not recognised	-	574,891	-	200,790
Change in unrecognized deferred tax assets	(732,907)	-	-	-
Effect of different tax rates in other country	55,859	86,525	-	-
Under/(Over) provision of taxation in prior year	16,991	42,269	(43,145)	42,269
Tax expense for the financial year	49,991	136,542	(10,145)	136,542

The Company was granted Pioneer Status by the relevant authority for a period of five years effective from 1 July 2004 to 30 June 2009 and an extension of Pioneer Status for another five years effective from 29 June 2009 to 30 June 2014.

25. EARNINGS PER SHARE

(a) Basic earnings per share

The earnings per share has been calculated based on the consolidated profit after taxation for the financial year attributable to equity holders of the Company of RM7,041,322 (2013: RM6,043,296) for the Group and the adjusted weighted average number of ordinary shares in issue during the financial year of 432,306,165 (2013: 298,515,926).

	Group	
	2014	**2013**
	RM	**RM**
Net profit for the financial year attributable to the equity holders of the Company	7,041,322	6,043,296
Weighted number of ordinary shares issued	432,306,165	298,515,926
Basic earnings per shares (sen)	1.90	2.02

(b) Fully diluted earnings per share

Fully diluted earnings per share has been calculated based on the consolidated profit after taxation for the financial year attributable to equity holders of the Company of RM7,041,322 (2013: RM6,043,296) for the Group and the adjusted weighted average number of ordinary shares issued and issuable of 410,727,410 (2013: 330,893,849).

	Group	
	2014	**2013**
	RM	**RM**
Net profit for the financial year attributable to the equity holders of the Company	7,041,322	6,043,296
Weighted number of ordinary shares in issue	371,400,510	298,515,926
Adjusted for:		
Assumed exercise of ESOS at no consideration	17,143,247	12,184,684
Assumed exercise of Warrants at no consideration	53,047,057	20,193,239
	441,590,814	330,893,849
Fully diluted earnings per share (sen)	1.59	1.83

26. DIVIDENDS

	Group/Company	
	2014	**2013**
	RM	**RM**
Dividend paid in respect of financial year ended 31 December 2014:		
First interim single tier exempt dividend of 1.5 sen per ordinary share	4,706,241	-
Second interim single tier exempt dividend of 0.7 sen per ordinary share	3,046,323	-
	7,752,564	-

27. EMPLOYEE SHARE OPTION SCHEME

The N2N Connect Berhad ("N2N") Employee Share Option Scheme ("ESOS") was approved by shareholders at the General Meetings on 13 October 2005 and 18 October 2005. The ESOS was implemented on 23 November 2005 and shall be in force for a period of 5 years from the date of implementation. Pursuant to the Board's approval on 24 August 2010, the tenure of the ESOS has been extended for a further 5 years, expiring on 22 December 2015.

The main features of the ESOS which is constituted under the by-laws are as follows:

(a) The total number of new ordinary shares which may be made available under the ESOS shall not exceed 10% of the total issued and paid-up share capital of the Company at any point in time during the tenure of the ESOS.

(b) All employees and Directors of the Group shall be eligible to participate in the ESOS, if, as at the offer date, the employee or Director:

(i) has attained the age of eighteen (18) years; and

(ii) is employed by and is on the payroll of a company within the Group or a Director of any of the companies within the Group;

Any allocation of options under the ESOS to any person who is a Director of the Company shall require prior approval from the shareholders of the Company in a general meeting.

(c) The number of new shares that may be offered and allotted to any of the eligible employees of the Group who are entitled to participate in the ESOS shall be at the discretion of the Option Committee after taking into consideration the position, performance and contribution to the Group, seniority and length of service of the eligible employee in the Group subject to the following:

(i) the number of new shares allocated, in aggregate, to the Directors and senior management of the Group shall not exceed 50% of the total new shares available under the ESOS;

(ii) the number of shares allocated to an eligible employee who either singly or collectively through persons connected with the eligible employee holds 20% or more of the issued and paid up share capital of the Company, shall not exceed 10% of the total new shares available under the ESOS.

(d) The option price shall be determined at a discount of not more than 10% from the weighted average market price of the Company's ordinary shares of RM0.10 each for five (5) market days preceding the date of offer, or the par value of the shares, whichever is higher. In the event the ESOS is made to the eligible employees prior to the admission of the Company on the Malaysian Exchange of Securities Dealing & Automated Quotation ("MESDAQ") Market of Bursa Malaysia Securities Berhad ("Bursa Securities"), subsequently transformed into the ACE Market, the option price shall be the higher of the theoretical ex-bonus price after the public issue and bonus issue of RM0.41 or the par value of the shares.

(e) The ESOS shall come into force for a duration of ten (10) years from the effective date 23 November 2005.

(f) The new shares to be allotted upon any exercise of the options shall upon issue and allotment rank pari passu in all respects with the existing ordinary shares of the Company save and except that the new shares will not be entitled to participate in any dividends, rights, allotments and/or other distributions that may be declared, where the entitlement date precedes the said date of allotment and issuance as stipulated therein.

(g) The option is personal to the grantee and is non-assignable.

(h) A Grantee shall exercise his options by notice in writing to the Company in the prescribed form stating the number of options exercised, the number of shares relating thereto and the Grantee's individual/nominee CDS account number. The options shall be exercised in multiples of and not less than one hundred (100) options. The exercise by a Grantee of some but not all of the options which have been offered to and accepted by him shall not preclude the Grantee from subsequently exercising any other options which have been or will be offered to and accepted by him, during the option period.

Movements in the number of share options outstanding and their related weighted average exercise prices ("WAEP") are as follows:

	Number of share options				
	At 1 January	**Granted**	**Exercised**	**At 31 December**	**Exercisable at 31 December**
2014					
First Grant	3,850,300	-	(33,000)	3,817,300	3,817,300
Second Grant	19,440,400	-	(550,600)	18,889,800	18,889,800
Total	23,290,700	-	(583,600)	22,707,100	22,707,100
WAEP	0.213	-	0.218	0.213	0.213
2013					
First Grant	3,917,400	-	(67,100)	3,850,300	3,850,300
Second Grant	20,674,800	-	(1,234,400)	19,440,400	19,440,400
Total	24,592,200	-	(1,301,500)	23,290,700	23,290,700
WAEP	0.242	-	0.218	0.213	0.213

Details of share options outstanding at end of the financial year are as follows:

Share Options	**Exercise price RM**	**Exercise Period**
2014		
First Grant	* 0.180	23.11.2005 – 22.11.2015
Second Grant	* 0.220	23.12.2005 – 22.12.2015
2013		
First Grant	* 0.180	23.11.2005 – 22.11.2015
Second Grant	* 0.220	23.12.2005 – 22.12.2015

* *Fair value of share options granted during the financial year*

As allowed by the transitional provisions in FRS 2 "Share-Based Payment", the recognition and measurement principles have not been applied to these grants.

28. STAFF INFORMATION

	Note	Group 2014 RM	Group 2013 RM	Company 2014 RM	Company 2013 RM
Staff costs (excluding Directors) comprise:					
Charged to statements of comprehensive income		6,640,032	5,492,760	2,676,957	2,396,645
Capitalised in intangible asset	6	3,354,100	2,936,836	2,923,410	2,347,871
Total staff costs for the financial year		9,994,132	8,429,596	5,600,367	4,744,516

Included in the total staff costs above are contributions made to the Employees Provident Fund under a defined contribution plan for the Group and for the Company amounting to RM1,043,782 and RM560,396 (2013: RM869,652 and RM470,267) respectively.

29. SEGMENTAL INFORMATION - GROUP

Segment information is primarily presented in respect of the Group's business segment which is based on the Group's management and internal reporting structure. Management monitors the operating results of its business segment separately for the purposes of making decision about resource allocation and performance assessment.

(a) Business segment

The principal businesses of the Group are carrying on the business as researcher and developer of software packages, provider of design, programming, consultancy services and related activities which are substantially within a single business segment. As such, segmental reporting by business segment is deemed not necessary. Accordingly the information regarding its financial position and results is represented by the financial statements as a whole.

(b) Geographical segments

(i) Revenue by geographical location of customers

	Group 2014 RM	Group 2013 RM
Malaysia	27,817,936	26,251,225
Singapore	6,192,478	4,626,232
Indonesia	169,569	243,431
Philippine	59,329	206,000
	34,239,312	31,326,888

(ii) Non-current assets by geographical location of assets are as follows:

	Group	
	2014	**2013**
	RM	**RM**
Malaysia	57,087,692	55,559,069
Singapore	1,144,635	1,579,913
	58,232,327	57,138,982

(c) Information about major customers

Revenue from 2 (2013: 2) major customers amount to RM13,453,430 (2013: RM16,449,955).

30. CAPITAL MANAGEMENT

The primary objective of the Group's capital management is to maintain an adequate capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business.

The Group monitors capital using gearing ratio, which is net capital plus net debt. The Group's policy is to keep the lower gearing ratio. The Group includes within net debt, trade and other payables, bank borrowings less cash and bank balances. Capital represents the equity attributable to the owners of the parent.

	Group		Company	
	2014	**2013**	**2014**	**2013**
	RM	**RM**	**RM**	**RM**
Trade and other payables	4,282,694	3,323,523	1,244,543	1,110,285
Bank borrowings	5,048,245	18,073,937	4,986,870	18,073,937
Less: cash and cash equivalents	(10,792,709)	(3,962,505)	(7,287,878)	(790,656)
Net (liquid)/debt	(1,461,770)	17,434,955	(1,056,465)	18,393,566
Total capital	158,183,124	49,164,360	160,836,958	53,616,906
Capital and net debt	156,721,354	66,599,315	159,780,493	72,010,472
Gearing ratio	(0.93%)	26.18%	(0.66%)	25.19%

There were no changes to the Group's approach to capital management during the financial year.

31. FINANCIAL INSTRUMENTS

(a) Financial risk management objectives and policies

The Group's and the Company's financial risk management policy is to ensure that adequate financial resources are available for the development of the Group's and the Company's operations whilst managing its financial risks, including foreign currency exchange risk, interest rate risk, market risk, credit risk, liquidity and cash flow risk. The Group and the Company operates within clearly defined guidelines that are approved by the Board and the Group's and the Company's policy is not to engage in speculative transactions.

(b) Foreign currency exchange risk

The Group and the Company is exposed to foreign currency risk on sales and purchases that are denominated in a currency other than Ringgit Malaysia. The currency giving rise to this risk is primarily Singapore Dollar, US Dollar, Euro Dollar and Indonesia Rupiah. The Group and the Company monitors the foreign currency risks on an ongoing basis.

The net unhedged financial assets and financial liabilities of the Group and the Company that are not denominated in their functional currencies are as follows:

	Financial Assets/(Liabilities) Held in Non-Functional Currency				
Functional Currency	**Singapore Dollar**	**US Dollar**	**Euro Dollar**	**Indonesia Rupiah**	**Total**
	RM	**RM**	**RM**	**RM**	**RM**
Group					
2014					
Trade receivables					
Ringgit Malaysia	-	754,610	-	57,608	812,218
Trade payables					
Ringgit Malaysia	-	(54,635)	-	-	(54,635)
2013					
Trade receivables					
Ringgit Malaysia	-	371,606	-	45,289	416,895
Trade payables					
Ringgit Malaysia	-	(133,131)	(17,714)	-	(150,845)

	Financial Assets/(Liabilities) Held in Non-Functional Currency				
Functional Currency	**Singapore Dollar**	**US Dollar**	**Euro Dollar**	**Indonesia Rupiah**	**Total**
	RM	**RM**	**RM**	**RM**	**RM**
Company					
2014					
Amount owing by subsidiary company					
Ringgit Malaysia	5,067,309	-	-	-	5,067,309
2013					
Trade payables					
Ringgit Malaysia	-	(88,827)	(9,314)	-	(98,141)
Amount owing by subsidiary company					
Ringgit Malaysia	4,745,541	-	-	-	4,745,541

Currency risk sensitivity analysis

The following table shows the sensitivity of the Group and the Company's equity and loss net of tax to a reasonably possible change in the SGD, USD, IDR and Euro exchange rates against the functional currency of the Company, with all other variables remain constant.

		Group		Company	
		Profit net of tax		Profit net of tax	
		2014	**2013**	**2014**	**2013**
		RM	**RM**	**RM**	**RM**
SGD/RM	-strengthened 5%	-	450	190,024	45,961
	-weakened 5%	-	(450)	(190,024)	(45,961)
USD/RM	-strengthened 5%	26,249	24,022	-	(12,811)
	-weakened 5%	(26,249)	(24,022)	-	12,811
IDR/RM	-strengthened 10%	4,321	1,376	-	-
	-weakened 10%	(4,321)	(1,376)	-	-
Euro/RM	-strengthened 5%	-	1,078	-	(376)
	-weakened 5%	-	(1,078)	-	376

(c) Interest rate risk

The Group's and the Company's income and operating cash flows are substantially independent of changes in market interest rates. Interest rate exposure arises from the Group's and the Company's borrowings and deposits.

Exposure to interest rate risk

The interest rate profile of the Group's and the Company's significant interest-bearing financial instruments, based on carrying amounts as at the end of the financial year are as follows:

	Group		Company	
	2014	2013	2014	2013
	RM	RM	RM	RM
Fixed rate instruments				
Deposits with licensed banks	6,286,945	35,959	6,286,945	35,959
Finance lease liabilities	(61,375)	-	-	-
Floating rate instruments				
Bank borrowings	(4,986,870)	(18,073,937)	(4,986,870)	(18,073,937)

Interest rate risk sensitivity analysis

A change of 50 basis points ("bp") in interest rates at the end of the reporting period would have increase/(decrease) profit net of tax by the amounts shown below, assuming all other variables remain constant.

	Group/Company	
	2014	2013
	RM	RM
Profit net of tax		
50 bp increase	(56,326)	(79,564)
50 bp decrease	56,326	79,564

(d) Credit risk

Exposure to credit risk

The Group's and the Company's exposure to credit risk arises mainly from receivables. Receivables are monitored on an ongoing basis via management reporting procedure and action is taken to recover debts when due.

Credit risk concentration profile

At statement of financial position date, there was no significant concentration of credit risk. The maximum exposure to credit risk for the Group and the Company is the carrying amount of the financial assets shown in the statements of financial position.

The Group and the Company determines concentrations of credit risk by monitoring the country profiles of its trade receivables on an ongoing basis as follows:

	Group		Company	
	2014	**2013**	**2014**	**2013**
	RM	**RM**	**RM**	**RM**
By country:				
Malaysia	8,118,523	6,979,040	393,466	562,673
Singapore	1,666,400	1,422,463	-	-
	9,784,923	8,401,503	393,466	562,673

(e) Liquidity and cash flow risk

The Group maintains a certain level of cash and cash convertible investments to meet its working capital requirements.

Maturity analysis

The table below summarises the maturity profile of the Group's and the Company's financial liabilities as at the end of the reporting period based on contractual undiscounted repayment obligations.

Group	**Carrying amount**	**Contractual interest rate**	**On demand or within one year**	**One to five years**	**Over five years**
	RM	**%**	**RM**	**RM**	**RM**
2014					
Trade payables	1,537,984	-	1,537,984	-	-
Other payables	2,744,710	-	2,744,710	-	-
Amount owing to directors	39,078	-	39,078	-	-
Bank borrowings	4,986,870	6.6%	704,400	2,187,700	1,464,870
Finance lease liabilities	61,375	4.61%	23,707	37,668	-

Group	Carrying amount RM	Contractual interest rate %	On demand or within one year RM	One to five years RM	Over five years RM
2013					
Trade payables	795,021	-	795,021	-	-
Other payables	2,528,502	-	2,528,502	-	-
Amount owing to a related company	10,650	-	10,650	-	-
Amount owing to directors	145,442	-	145,442	-	-
Bank borrowings	18,073,937	6.6% – 7.85%	3,762,821	8,177,760	6,133,356
Company					
2014					
Trade payables	364,724	-	364,724	-	-
Other payables	879,819	-	879,819	-	-
Amount owing to a related company	1,215,475	-	1,215,475	-	-
Amount owing to directors	39,078	-	-	-	-
Bank borrowings	4,282,470	6.6%	704,400	2,187,700	1,464,870
2013					
Trade payables	123,995	-	123,995	-	-
Other payables	986,290	-	986,290	-	-
Amount owing to a related company	10,651	-	10,651	-	-
Amount owing to directors	145,442	-	145,442	-	-
Bank borrowings	18,073,937	6.6% – 7.85%	3,762,821	8,177,760	6,133,356

(f) Market price risk

Market price risk is the risk that the fair value or future cash flows of the Group's financial instruments will fluctuate because of changes in market prices (other than interest and exchange rates).

The fair value of marketable securities are pre-determined by the financial institution upon purchase.

(g) Fair values

(a) The carrying amounts of cash and cash equivalents, trade and other receivables, trade and other payables, amount owing by holding company, amount owing by subsidiary companies and amount owing to directors are approximated to their fair values at the statement of financial position date due to the relatively short term nature of these financial instruments.

(b) The aggregate fair values of the other financial assets carried on the statement of financial position date are as follows:

	2014		2013	
	Carrying Amount	Level 2 Fair Value	Carrying Amount	Level 2 Fair Value
	RM	RM	RM	RM
Group				
Financial assets				
Marketable securities	86,537,742	86,537,742	57,775	57,775
Bank borrowings	5,048,245	5,048,245	18,073,937	10,735,093
Company				
Financial assets				
Marketable securities	86,537,742	86,537,742	57,775	57,775
Bank borrowings	4,986,870	4,986,870	18,073,937	10,735,093

The carrying amounts of cash and cash equivalents, short term receivables and payables and short term borrowings reasonably approximate their fair values due to the relatively short term nature of these financial instruments.

The Group uses the following hierarchy for determining and disclosing the fair value of financial instruments by valuation technique:

- Level 1: Quoted prices in active markets for identical assets or liabilities.
- Level 2: Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly or indirectly.
- Level 3: Inputs for the asset or liability that is not based on observable market data.

32. RELATED PARTY DISCLOSURES

(a) In addition to the transactions detailed elsewhere in the financial statements, the Group and the Company had the following transactions with related parties during the financial year:

	Group	
	2014	**2013**
	RM	**RM**
Subcontract fee received/receivable from related company:		
Netinfinium Solutions Sdn. Bhd.	12,349	275,000

	Company	
	2014	**2013**
	RM	**RM**
E-Broker fees received/receivables from subsidiary companies:		
N2N Global Solutions Sdn. Bhd.	8,512,161	12,430,976
N2N Connect Pte. Ltd.	555,930	910,205
Management fees received/receivable from a subsidiary company:		
NGN Connection Sdn. Bhd.	1,018,107	895,380
Rental income received/receivable from a subsidiary company:		
N2N Global Solutions Sdn. Bhd.	32,283	-
Subcontractor fees received/receivable from subsidiary companies:		
N2N Global Solutions Sdn. Bhd.	114,503	-
NGN Connection Sdn. Bhd.	27,931	-
Professional fees paid/payable to a subsidiary company:		
N2N Connect Pte. Ltd.	(278,964)	-
Rental income received/receivable from a related company:		
Netinfinium Solutions Sdn. Bhd.	17,280	7,200
Management fees received/receivable from a related company:		
Netinfinium Solutions Sdn. Bhd.	60,000	60,000

The Directors are of the opinion that all the transactions above have been entered into in the normal course of business and have been established on terms and conditions that are not materially different from those obtainable in transactions with unrelated parties.

(b) Information regarding outstanding balances arising from related party transactions as at 31 December 2014 are disclosed in Notes 9, 10 and 11 to the financial statements.

(c) Information regarding the compensation of key management personnel is as follows:

	Group		Company	
	2014	**2013**	**2014**	**2013**
	RM	**RM**	**RM**	**RM**
Short-term employee Benefits	2,604,383	1,334,700	365,844	711,535

Executive directors of the Group and the Company and other members of key management have been granted the following number of options under the ESOS:

	Number of share options				
	At 1 January	**Granted**	**Exercised**	**At 31 December**	**Exercisable at 31 December**
2014					
First Grant	2,102,600	-	-	2,102,600	2,102,600
Second Grant	9,400,000	-	-	9,400,000	9,400,000
Total	11,502,600	-	-	11,502,600	11,502,600
WAEP	0.212	-	-	0.212	0.212

	Number of share options				
	At 1 January	**Granted**	**Exercised**	**At 31 December**	**Exercisable at 31 December**
2013					
First Grant	2,152,100	-	49,500	2,102,600	2,102,600
Second Grant	10,100,000	-	700,000	9,400,000	9,400,000
Total	12,252,100	-	749,500	11,502,600	11,502,600
WAEP	0.212	-	0.217	0.212	0.212

The share options were granted on the same terms and conditions as those offered to other employees of the Group as disclosed in Note 27 to the financial statements.

33. CAPITAL COMMITMENT

	Group	
	2014	**2013**
	RM	**RM**
Capital expenditure approved and contracted for	1,860,000	-

A subsidiary company of the Group has entered into a software purchase agreement for a cash consideration of RM1,860,000. The information regarding the agreement is disclosed in Note 35 to the financial statements.

34. SIGNIFICANT EVENT

On 2 July 2014, the authorised share capital of the Company was increased from RM50,000,000 comprising 500,000,000 ordinary shares of RM0.10 each to RM100,000,000 comprising 1,000,000,000 ordinary shares of RM0.10 each by creation of an additional 500,000,000 new ordinary shares.

On 24 April 2014, the Company entered into Subscription Agreements with Nikkei Inc. and Quick Corp. respectively, both companies incorporated in Japan to undertake a proposed Private Placement of a total of 122,027,600 new ordinary shares of RM0.10 each in the Company representing up to approximately 28% of the enlarged issued and paid-up share capital of the Company at an issue price of RM0.89 per Placement Share. The proposed Private Placement completed on 2 July 2014 pursuant to the shareholders' mandate obtained.

On 9 September 2014, NGN Connection Sdn. Bhd., wholly-owned subsidiary of the Company had acquired the entire issued and paid-up share capital of Global Fin Net Sdn. Bhd. comprising 20 ordinary shares of RM0.10 each for a cash consideration of RM2.

On 21 November 2014, N2N Global Solutions Sdn. Bhd., wholly-owned subsidiary of the Company had acquired the entire issued and paid-up share capital of Influx Botech Sdn. Bhd. comprising 2 ordinary shares of RM1.00 each for a cash consideration of RM2.

35. SUBSEQUENT EVENTS

Subsequent to the financial year, the following significant events took place:

(a) The Company had purchased a total of 483,100 ordinary shares of its issued and paid-up share capital from the open market at a total cost of RM 409,420. The average price paid for the shares purchased was RM0.850 per share.

The repurchase transactions were financed by internally generated funds. The repurchased shares are being held as treasury shares and carried at cost in accordance with the requirements of Section 67A of the Companies Act, 1965.

(b) The issued and paid-up share capital of the Company was increased from RM43,968,667 to RM44,000,957 by way of the issuance of 322,900 new ordinary shares of RM0.10 each for cash pursuant to the exercise of Warrants at an exercise price of RM0.38 per ordinary share.

(c) On 12 February 2015, Influx Biotech Sdn. Bhd., wholly-owned subsidiary of N2N Global Solutions Sdn. Bhd., wholly-owned subsidiary of the Company had increased its authorised share capital from RM400,000 comprising of 400,000 ordinary shares of RM1 each to RM5,000,000 comprising of 5,000,000 ordinary shares of RM1 each by creation of an additional 4,600,000 new ordinary shares.

On 12 February 2015, N2N Global Solutions Sdn. Bhd. had further acquired the entire issued and paid-up share capital in Influx Biotech Sdn. Bhd. comprising 2,199,998 ordinary shares of RM1 each for a cash consideration of RM2,199,998.

(d) On 12 February 2015, Influx Biotech Sdn. Bhd., wholly-owned subsidiary of N2N Global Solutions Sdn. Bhd., wholly-owned subsidiary of the Company had entered into a software purchase agreement with Mr. Loh Tai Hai to acquire the back office system for the financial institution which is currently under development for a total cash consideration of RM1,860,000.

36. DATE OF AUTHORISATION FOR ISSUE

The financial statements of the Group and of the Company for the financial year ended 31 December 2014 were authorised for issue in accordance with a resolution of the Board of Directors on 8 April 2015.

REALISED AND UNREALISED PROFITS/LOSSES (SUPPLEMENTARY INFORMATION)

The breakdown of the accumulated loss of the Group and of the Company as of 31 December into realised and unrealised amounts is as follows:

	Group	
	2014	**2013**
	RM	**RM**
Total retained earnings of the Company and its subsidiary companies:		
Realised profits	10,920,597	11,835,577
Unrealised losses	(203,738)	(203,738)
	10,716,859	11,631,839
Add: consolidation adjustments	166,673	(37,065)
	10,883,532	11,594,774

	Company	
	2014	**2013**
	RM	**RM**
Total retained earnings of the Company:-		
Realised profits	13,846,441	16,154,247
Unrealised losses	-	139,851
	13,846,441	16,294,098

The above disclosure of realised and unrealised profits or losses is made solely for complying with the disclosure requirements stipulated in the directive of Bursa Malaysia Securities Berhad and is not made for any other purposes.

LIST OF PROPERTY OF N2N CONNECT BERHAD

AS AT 31 DECEMBER 2014

Postal Address	Approximate Age of Building	Tenure/ Date of Acquisition	Remaining Lease Period (Expiry of Lease)	Current Use	Land Area (SQ Feet)	Net Book Value As At 31 December 2014 (RM'000)
Wisma N2N, Tower 2, Avenue 3, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur	6 Years	Leasehold/ 3 June 2011	93 Years (16 August 2106)	Corporate Offices	54,059	35,494

ANALYSIS OF SHAREHOLDINGS
AS AT 10 APRIL 2015

Authorised Capital	:	RM100,000,000
Issued and Fully Paid-Up Capital	:	RM44,000,956.50
Class of shares	:	Ordinary shares of RM0.10 each
Voting rights	:	One vote per ordinary share
Treasury shares	:	7,863,600 ordinary shares of RM0.10 each

1. DISTRIBUTION SCHEDULE OF SHAREHOLDERS

No. of Holders	Holdings	Total Holdings	%
29	Less than 100	931	0.00
123	100 to 1,000	85,245	0.02
544	1,001 to 10,000	3,070,100	0.71
306	10,001 to 100,000	10,637,500	2.46
120	100,001 to less than 5% of issued shares	162,521,079	37.61
3	5% and above of issued shares	255,831,110	59.20
1,125		432,145,965	100.00

2. LIST OF THIRTY (30) LARGEST SECURITIES ACCOUNT HOLDERS

	Name	No. of shares	Percentage (%)
1	N2N Connect Holdings Sdn Bhd	133,803,510	30.96
2	CIMSEC Nominees (Asing) Sdn Bhd *Pledged Securities Account for Nikkei Inc*	61,013,800	14.12
3	CIMSEC Nominees (Asing) Sdn Bhd *Pledged Securities Account for QUICK Corp.*	61,013,800	14.12
4	Amsec Nominees (Asing) Sdn Bhd *AmFraser Securities Pte Ltd for Goh Khoon Lim (45128)*	14,918,900	3.45
5	Amsec Nominees (Asing) Sdn Bhd *AmFraser Securities Pte Ltd for 28 Holding Pte. Ltd. (16333)*	13,463,966	3.12
6	Affin Hwang Nominees (Asing) Sdn Bhd *DBS Vickers Secs (S) Pte Ltd for Goh Fuqiang, Kenneth*	13,266,666	3.07
7	Affin Hwang Nominees (Asing) Sdn Bhd *DBS Vickers Secs (S) Pte Ltd for Hayman Holding Limited*	13,040,700	3.02
8	CITIGROUP Nominees (Asing) Sdn Bhd *Exempt An for UBS AG (Clients Assets)*	12,960,000	3.00
9	Wong Lai Yoke	10,720,362	2.48
10	Tiang Boon Hwa	10,217,570	2.36

	Name	No. of shares	Percentage (%)
11	CIMSEC Nominees (Tempatan) Sdn Bhd *Lai Su Ping (ESOS Pool Account)*	10,096,496	2.34
12	HLB Nominees (Asing) Sdn Bhd *Pledged Securities Account for Ong Nai Pew (SIN 9488-0)*	8,638,900	2.00
13	Affin Hwang Nominees (Asing) Sdn Bhd *DBS Vickers Secs (S) Pte Ltd for Avenue Investors Limited*	4,741,600	1.10
14	CIMSEC Nominees (Tempatan) Sdn Bhd *CIMB Bank for Goh Ching Chee (MY0605)*	4,600,000	1.06
15	Ming Khing Yih	2,130,000	0.49
16	Lai Su Ping	2,039,148	0.47
17	CIMSEC Nominees (Tempatan) Sdn Bhd *N2N Connect Holdings Sdn Bhd (ESOS Pool Account)*	1,646,000	0.38
18	Amsec Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Ling Yun Hwee @ Lim Bee Hong*	1,450,000	0.34
19	Liew Kim Loong	1,230,000	0.28
20	CIMSEC Nominees (Asing) Sdn Bhd *Exempt An for CIMB Securities (Singapore) Pte Ltd (Retail Clients)*	1,170,000	0.27
21	Tang Yim Heng	1,135,300	0.26
22	Ngang Ching Tang	1,115,800	0.26
23	CIMSEC Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Ng Yen Woon (Cyberjaya - CL)*	1,020,300	0.24
24	Affin Hwang Nominees (Asing) Sdn Bhd *DBS Vickers Secs (S) Pte Ltd for 28 Holdings Pte Ltd*	1,000,000	0.23
25	Loh Lan Jin @ Loh Luan Eng	1,000,000	0.23
26	Lai Wei Suen	959,600	0.22
27	Goh Ching Chee	860,000	0.20
28	UOB Kay Hian Nominees (Asing) Sdn Bhd *Exempt An For UOB Kay Hian Pte Ltd (A/C Clients)*	841,100	0.19
29	Chen Boon Chew	790,500	0.18
30	CIMSEC Nominees (Tempatan) Sdn Bhd *CIMB Bank for Chua Tiong Hoong (MM1106)*	776,354	0.18
		391,660,372	90.63

3. LIST OF SUBSTANTIAL SHAREHOLDERS

	Names	No. of shares (Direct)	Percentage (%)	No. of shares (Indirect)	Percentage (%)
1	N2N Connect Holdings Sdn Bhd	135,449,510	31.34	-	-
2	CIMSEC Nominees (Asing) Sdn Bhd *Pledged Securities Account for Nikkei Inc*	61,013,800	14.12	-	-
3.	CIMSEC Nominees (Asing) Sdn Bhd *Pledged Securities Account for QUICK Corp.*	61,013,800	14.12	-	-
4.	Tiang Boon Hwa	10,738,944	2.49	147,585,154[1]	34.15
5.	Lai Su Ping	12,135,644	2.81	146,188,454[2]	33.83

4. DIRECTOR'S INTEREST IN SHARES IN THE COMPANY AND ITS RELATED COMPANIES

	Names	No. of shares (Direct)	Percentage (%)	No. of shares (Indirect)	Percentage (%)
1	Tiang Boon Hwa	10,738,944	2.49	147,585,154[1]	34.15
2	Lai Su Ping	12,135,644	2.81	146,188,454[2]	33.83
3	Chua Tiong Hoong	1,129,354	0.26	14,000[3]	0.003
4	Datuk Tan Boon Leng	1,232,700	0.29	-	-
5	Goh Fuqiang, Kenneth	13,266,666	3.07	-	-
6	Dato' Chew Kong Seng	-	-	-	-
7	Tetsuya Iguchi	-	-	-	-
8	Akio Furuse	-	-	-	-

The above Directors by virtue of the shareholdings in the Company are also deemed interested in shares in the related corporations to the extent the Company has an interest.

Notes:-

[1] *Deemed interested by virtue of his interest in N2N Connect Holdings Sdn Bhd and his spouse, Lai Su Ping's interest, pursuant to Sections 6A and 134 of the Act.*

[2] *Deemed interested by virtue of her interest in N2N Connect Holdings Sdn Bhd and her spouse, Tiang Boon Hwa's interest, pursuant to Sections 6A and 134 of the Act.*

[3] *Deemed interested by virtue of his spouse, Yap Oi Peng's interest, pursuant to Section 134 of the Act.*

ANALYSIS OF WARRANTHOLDINGS
AS AT 10 APRIL 2015

Type of Securities	:	5 Years Warrants 2013/2018
Total Warrants Issued and Not Exercised	:	83,564,535
Voting rights	:	The holders of the Warrants are not entitled to any voting rights or to participate in any distribution and/or offer of further securities in the Company until and unless such holder of the Warrants are issued with new N2N Shares arising from their exercise of the Warrants

1. DISTRIBUTION SCHEDULE OF WARRRANTHOLDERS

No. of Holders	Holdings	Total Holdings	%
10	Less than 100	463	0.00
28	100 to 1,000	16,571	0.02
135	1,001 to 10,000	841,562	1.01
162	10,001 to 100,000	5,561,259	6.66
56	100,001 to less than 5% of issued warrants	26,810,877	32.08
2	5% and above of issued shares	50,333,803	60.23
393		83,564,535	100.00

2. LIST OF THIRTY (30) LARGEST WARRANTS ACCOUNT HOLDERS

	Name	No. of Warrants	Percentage (%)
1	N2N Connect Holdings Sdn Bhd	46,013,803	55.06
2	CITIGROUP Nominees (Asing) Sdn Bhd *Exempt An for UBS AG (Clients Assets)*	4,320,000	5.17
3	HLB Nominees (Asing) Sdn Bhd *Pledged Securities Account for Ong Nai Pew (SIN 9488-0)*	4,050,833	4.85
4	Tiang Boon Hwa	3,405,856	4.08
5	CIMSEC Nominees (Tempatan) Sdn Bhd *Lai Su Ping (ESOS Pool Account)*	3,365,498	4.03
6	Ngang Ching Tang	979,600	1.17
7	M & A Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Chia Yet Mee (M&A)*	953,300	1.14
8	Tiang Boon Hwa	952,733	1.14

	Name	No. of Warrants	Percentage (%)
9	Lim Siew Hong	922,100	1.10
10	Lai Su Ping	679,715	0.81
11	CIMSEC Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Ng Yen Woon (Cyberjaya-CL)*	604,000	0.72
12	Lai Sok Kun	574,500	0.69
13	CIMSEC Nominees (Tempatan) Sdn Bhd *N2N Connect Holdings Sdn Bhd (ESOS Pool Account)*	548,666	0.66
14	Kelvin Chia Seng Ming	438,200	0.52
15	Wong Kok Ping	436,900	0.52
16	Melvin Chow Jin Hoong	436,100	0.52
17	Tan Meng Hooi	425,000	0.51
18	Amsec Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Ling Yun Hwee @ Lim Bee Hong*	400,000	0.48
19	Maggie Chong Mei Ling	362,266	0.43
20	Chia Kee Hock	352,466	0.42
21	Choo Kian Loo	350,000	0.42
22	Dominic Ong Sheng Yew	350,000	0.42
23	CITIGROUP Nominees (Asing) Sdn Bhd *Exempt An for OCBC Securities Private Limited (Client A/C-NR)*	289,480	0.35
24	Cheong Min Choong	280,000	0.34
25	RHB Nominees (Tempatan) Sdn Bhd *Amara Investment Management Sdn Bhd for Lee Soon Kwee*	244,000	0.29
26	Lee Heng Wai	240,900	0.29
27	Public Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Tan Boon Leng (E-TJJ)*	239,000	0.29
28	SJ Sec Nominees (Tempatan) Sdn Bhd *Pledged Securities Account for Chua Tiong Kheng (SMT)*	233,000	0.28
29	Lai Wei Suen	229,866	0.28
30	Tai Kok Wei	219,400	0.26
		72,897,182	87.23

3. DIRECTOR'S INTEREST IN WARRANTS IN THE COMPANY AND ITS RELATED COMPANIES

	Names	No. of Warrants (Direct)	Percentage (%)	No. of Warrants (Indirect)	Percentage (%)
1	Tiang Boon Hwa	4,502,089	5.39	50,607,652[(1)]	60.33
2	Lai Su Ping	4,045,213	4.84	51,064,558[(2)]	60.08
3	Chua Tiong Hoong	104,000	0.12	125,200[(3)]	0.15
4	Tan Boon Leng	411,166	0.49	-	-
5	Goh Fuqiang, Kenneth	-	-	-	-
6	Dato' Chew Kong Seng @ Chew Kong Huat	-	-	-	-
7	Tetsuya Iguchi	-	-	-	-
8	Akio Furuse	-	-	-	-

Notes:-

(1) *Deemed interested by virtue of his interest in N2N Connect Holdings Sdn Bhd and his spouse, Lai Su Ping's interest, pursuant to Sections 6A and 134 of the Act.*

(2) *Deemed interested by virtue of her interest in N2N Connect Holdings Sdn Bhd and her spouse, Tiang Boon Hwa's interest, pursuant to Sections 6A and 134 of the Act.*

(3) *Deemed interested by virtue of his spouse, Yap Oi Peng's interest, pursuant to Section 134 of the Act.*

NOTICE OF ANNUAL GENERAL MEETING

NOTICE IS HEREBY GIVEN that the Fourteenth Annual General Meeting of the Company will be held at Wisma N2N, Level 9, Tower 2, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur on Thursday, 4 June 2015 at 10:00 a.m. to transact the following business:

Agenda

Ordinary Business

1. To receive the Audited Financial Statements for the financial year ended 31 December 2014 and the Reports of the Directors and Auditors thereon. *(Ordinary Resolution 1)*

2. To approve the payment of Directors' fees of RM193,700 for the financial year ended 31 December 2014 (2013: RM209,644). *(Ordinary Resolution 2)*

3. To re-elect the following Directors retiring in accordance with Article 127 of the Company's Articles of Association:

   3.1 Mr Tiang Boon Hwa *(Ordinary Resolution 3)*

   3.2 Datuk Tan Boon Leng *(Ordinary Resolution 4)*

4. To re-elect the following Directors retiring in accordance with Article 132 of the Company's Articles of Association:

   4.1 Mr Tetsuya Iguchi *(Ordinary Resolution 5)*

   4.2 Mr Akio Furuse *(Ordinary Resolution 6)*

5. To consider, and if thought fit, to pass the following resolution:

   "That Dato' Chew Kong Seng @ Chew Kong Huat, who retires in accordance with Section 129(6) of the Companies Act, 1965, be and is hereby re-appointed as a Director of the Company to hold office until the conclusion of the next Annual General Meeting." *(Ordinary Resolution 7)*

6. To re-appoint Messrs Morison Anuarul Azizan Chew as Auditors of the Company and to authorise the Board of Directors to determine their remuneration. *(Ordinary Resolution 8)*

Special Business

7. To consider and if thought fit, to pass the following as an ordinary resolution

   AUTHORITY PURSUANT TO SECTION 132D OF THE COMPANIES ACT, 1965

   "THAT, pursuant to Section 132D of the Companies Act, 1965 and subject to the approvals of the relevant government and/or regulatory authorities, where necessary, the Directors be and are hereby empowered to allot and issue shares in the Company at any time until the conclusion of the next Annual General Meeting and upon such terms and conditions and for such purposes as the Directors may, in their absolute discretion, deem fit provided that the aggregate number of shares to be issued does not exceed 10% of the total issued share capital of the Company at the time of issue, and that the Directors be and are also empowered to obtain the approval of Bursa Malaysia Securities Berhad for the listing of and quotation for the additional shares so issued." *(Ordinary Resolution 9)*

8. To consider and if thought fit, to pass the following as an ordinary resolution:

PROPOSED RENEWAL OF THE AUTHORITY FOR N2N CONNECT BERHAD TO PURCHASE UP TO TEN PERCENT (10%) OF ITS ISSUED AND PAID-UP SHARE CAPITAL ("PROPOSED SHARE BUY-BACK")

"THAT, subject to the Companies Act, 1965, the Articles of Association of the Company, the Listing Requirements of Bursa Malaysia Securities Berhad ("Bursa Securities") for the ACE Market ("ACE LR") and the approval of such relevant government and/or regulatory authorities where necessary, the Company be and is hereby authorised to purchase its own ordinary shares of RM0.10 each ("Shares") on the ACE Market of Bursa Securities ("Proposed Share Buy-Back") at any time, upon such terms and conditions as the Directors shall in their discretion deem fit and expedient in the best interest of the Company provided that:-

(a) The aggregate number of Shares in the Company which may be purchased and/or held by the Company shall not exceed ten percent (10%) of the prevailing issued and paid-up share capital of the Company at the time of purchase and the compliance with the public shareholding spread requirements as stipulated in Rule 8.02(1) of the ACE LR or such other requirements as may be determined by Bursa Securities from time to time;

(b) The maximum funds to be allocated by the Company for the purpose of purchasing the Shares shall not exceed the audited retained profits and/or share premium account of the Company of RM13,846,441 and RM106,225,342 respectively as at 31 December 2014;

(c) The authority conferred by this resolution will commence after the passing of this ordinary resolution and will continue to be in force until:-

(i) the conclusion of the next Annual General Meeting ("AGM") at which time it shall lapse unless by ordinary resolution passed at the meeting, the authority is renewed, either unconditionally or subject to conditions; or

(ii) the expiration of the period within which the next AGM after that date is required by law to be held; or

(iii) revoked or varied by ordinary resolution passed by the shareholders of the Company in a general meeting;

whichever occurs first; and

(d) Upon the purchase by the Company of its own Shares, the Board of Directors of the Company ("Board") be and is hereby authorised to:-

(i) cancel all or part of the Shares purchased pursuant to the Proposed Share Buy-Back ("Purchased Shares"); and/or

(ii) retain all or part of the Purchased Shares as treasury shares; and/or

(iii) distribute the treasury shares as share dividends to the Company's shareholders for the time being; and/or

(iv) resell the treasury shares on Bursa Securities.

AND THAT authority be and is hereby given to the Board to take all such steps as are necessary or expedient to implement, finalise and give full effect to and to implement the Proposed Share Buy-Back with full powers to assent to any conditions, modifications, revaluations, variations and/or amendments (if any) as may be required or imposed by the relevant authorities from time to time and to do all such acts and things as the Board may deem fit and expedient in the best interest of the Company." *(Ordinary Resolution 10)*

9. To transact any other business of which due notice shall have been given.

FURTHER NOTICE IS HEREBY GIVEN THAT for the purpose of determining a member who shall be entitled to attend this Fourteenth Annual General Meeting, the Company shall be requesting Bursa Malaysia Depository Sdn. Bhd. ("Bursa Depository") in accordance with Article 77 of the Company's Articles of Association and Section 34 (1) of the Securities Industry (Central Depositories) Act 1991 to issue a General Meeting Record of Depositors as at 29 May 2015. Only a depositor whose name appears on the Record of Depositors as at 29 May 2015 shall be entitled to attend the said meeting or appoint proxy/proxies to attend and/or vote on his behalf.

By order of the Board

HO MUN YEE (MAICSA 0877877)
TAM FONG YING (MAICSA 7007857)
Company Secretaries

Kuala Lumpur
13 May 2015

Notes:

1. *A proxy may but need not be a member of the Company and the provisions of Section 149(1)(b) of the Act shall not apply to the Company.*
2. *A member shall be entitled to appoint more than one (1) proxy but not exceeding three (3) proxies to attend and vote at the same meeting. Where a member appoints more than one (1) proxy, the appointment shall be invalid unless he specifies the proportions of his holdings to be represented by each proxy. If the appointor is a corporation, this form must be executed under its Common Seal or under the hand of its attorney.*
3. *The instrument appointing a proxy must be deposited at the Company's Registered Office at 3rd Floor, No. 17 Jalan Ipoh Kecil, 50350 Kuala Lumpur not less than 48 hours before the time appointed for holding the Meeting or any adjournment thereof.*

EXPLANATORY NOTES ON SPECIAL BUSINESS

A. Authority pursuant to Section 132D of the Companies Act, 1965

The Ordinary Resolution, if passed, will give authority to the Directors of the Company, from the date of the above Annual General Meeting, to issue and allot ordinary shares in the Company up to and not exceeding in total 10% of the issued capital of the Company at the time of issue. This authority, unless revoked or varied at a general meeting, will expire at the next Annual General Meeting.

As at the date of this Notice, no new shares in the Company were issued pursuant to the mandate granted to the Directors at the last AGM held on 23 June 2014, in which the said mandate will lapse at the conclusion of this AGM.

The Renewed Mandate will provide flexibility to the Company for any possible fund raising activities, including but not limited to further placing of shares, for purpose of funding future investment project(s), working capital, acquisitions and/or such other applications that the Directors may in their absolute discretion deem fit.

B. Proposed Renewal of Authority To Buy-Back Shares

The Ordinary Resolution, if passed, will provide mandate for the Company to buy-back its own shares up to a limit of 10% of the existing issued and paid-up share capital of the Company. Further explanatory notes on Ordinary Resolution 10 is set out in the Statement to Shareholders dated 13 May 2015 despatched together with the Annual Report.

STATEMENT ACCOMPANYING THE NOTICE OF ANNUAL GENERAL MEETING

A. Further Details of the Director who is standing for re-election as Director

The details of the Director who is standing for re-election at the 14th Annual General Meeting are set out in the Directors' Profile of the Company's Annual Report 2014. No individual other than the retiring Director is seeking election as Director at the 14th Annual General Meeting.

The retiring Directors have been assessed by the Nomination Committee and the Board of Directors and are recommended for re-election at the 14th Annual General Meeting.

B. Details of attendance of Directors at Board of Directors' Meetings

Please refer to the Board of Directors' attendance as set out in the Corporate Governance Statement of the Company's Annual Report 2014.

C. Mandate for Issuance of Securities

The Ordinary Resolution, if passed, will give authority to the Directors of the Company, from the date of the above Annual General Meeting, to issue and allot ordinary shares in the Company up to and not exceeding in total 10% of the issued capital of the Company at the time of issue. This authority, unless revoked or varied at a general meeting, will expire at the next Annual General Meeting.

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The Renewed Mandate will provide flexibility to the Company for any possible fund raising activities, including but not limited to further placing of shares, for purpose of funding future investment project(s), working capital, acquisitions and/or such other applications that the Directors may in their absolute discretion deem fit.

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N2N CONNECT BERHAD
(523137-K)
(Incorporated in Malaysia)

PROXY FORM

(NRIC No...../Tel No.....)

I/We, _____

of _____

being a member(s) of N2N CONNECT BERHAD, her by appoint _____

of _____

or failing him/her _____

of _____

as my/our proxy, to vote for me/us and on my/our behalf at the Fourteenth Annual General Meeting of the Company to be held at Wisma N2N, Level 9, Tower 2, Bangsar South, No. 8, Jalan Kerinchi, 59200 Kuala Lumpur on Thursday, 4 June 2015 at 10:00 a.m. or at any adjournment thereof.

The proportion of my/our shareholding to be represented by my/our proxies are as follows:-

First proxy (1) ..... % Second proxy (2) ..... %

Third proxy (3) ..... %

		FOR	AGAINST
Ordinary Resolution 1	Reports and Audited Financial Statements		
Ordinary Resolution 2	Directors' fees		
Ordinary Resolution 3	Re-election of Mr Tiang Boon Hwa		
Ordinary Resolution 4	Re-election of Datuk Tan Boon Leng		
Ordinary Resolution 5	Re-election of Mr Tetsuya Iguchi		
Ordinary Resolution 6	Re-election of Mr Akio Furuse		
Ordinary Resolution 7	Re-appointment of Dato' Chew Kong Seng @ Chew Kong Huat		
Ordinary Resolution 8	Re-appointment of Auditors		
Ordinary Resolution 9	Authority to issue shares pursuant to Section 132D of the Companies Act, 1965		
Ordinary Resolution 10	Proposed Share Buy-Back		

Subject to any voting instructions so given, the proxy will vote, or may abstain from voting on any resolution as he/she may think fit.

No. of Shares held

_____
Signature(s)/Common Seal of Shareholder

Dated this _____ day of _____ 2015

NOTES

1. *A proxy may but need not be a member of the Company and the provisions of Section 149(1)(b) of the Act shall not apply to the Company.*
2. *A member shall be entitled to appoint more than one (1) proxy but not exceeding three (3) proxies to attend and vote at the same meeting. Where a member appoints more than one (1) proxy, the appointment shall be invalid unless he specifies the proportions of his holdings to be represented by each proxy. If the appointor is a corporation, this form must be executed under its Common Seal or under the hand of its attorney.*
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Fold this flap for sealing

Then fold here

AFFIX STAMP

The Company Secretary

N2N CONNECT BERHAD (523137-K)
3rd Floor
17, Jalan Ipoh Kecil
50350 Kuala Lumpur

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